

ANSWERS & EXPLANATIONS

GENERAL STUDIES (P) TEST – 3791 (2023)

Q 1.B

- **The Market Intervention Scheme (MIS)** is a price support mechanism implemented **at the request of state governments** for the procurement of **perishable and horticultural commodities** in the event of a fall in market prices. **Hence statement 1 is not correct.**
- Its objective is to protect the growers of these horticultural/agricultural commodities from making distress sales in the event of a bumper crop. It is implemented when there is **at least a 10% increase in production or a 10% decrease in the ruling rates** over the previous normal year.
- Under the MIS, a **pre-determined quantity at a fixed Market Intervention Price (MIP)** is procured by **NAFED as the central agency**. The area of operation is restricted to the concerned state only. **Hence statement 2 is correct.**
- Proposal of MIS is approved on the specific request of State/UT Government, if they are ready to bear 50% loss (25% in case of North-Eastern States), if any, incurred on its implementation.
- Under MIS, **funds are not allocated to the States**. Instead, the central share of losses as per the guidelines of MIS is released to the State Governments/UTs, for which MIS has been approved based on specific proposals received from them.

Q 2.D

- Under Article 112 of the Constitution of India, **the Annual Financial Statement has to distinguish the expenditure of the Government on revenue account from other expenditures. The government Budget, therefore, comprises of Revenue Budget and Capital Budget. The Revenue Budget** consists of the revenue receipts of the Government (tax revenues and other revenues like interest and dividends on investments made by the Government, fees, and other receipts for services rendered by the Government) and the expenditure met from these revenues.
- Revenue expenditure **does not result in the creation of assets for the Government of India while Capital Expenditure is related to the creation of Assets, Capital expenditure also includes investment by the government that yields profits or dividends in the future.**
- **Revenue Expenditure** relates to those expenses incurred for the normal functioning of the government departments and various services, **interest payments on debt incurred by the government, and grants given to state governments and other parties (even though some of the grants may be meant for the creation of assets). Pensions and Subsidies, Salaries, and interest payments on market loans form a part of the revenue expenditure of the Government. Hence options 1, 2 and 4 are correct.**
 - **Effective Revenue Deficit** is the difference between revenue deficit and grants for the creation of capital assets. It signifies the amount of capital receipts that are being used for actual consumption expenditure of the Government.
- **Purchase of new weapons and weapon systems such as missiles, tanks, fighter jets, and submarines requires extensive capital investment.** Nearly a third of the central government's capital expenditure goes into the defense sector, mostly for weapon purchases. **Hence the purchase of Rafale jets forms a part of Capital expenditure. Hence option 3 is not correct.**

Q 3.D

- **Statutory Liquidity Ratio:** The statutory liquidity ratio refers to that proportion of total deposits which the commercial banks are required to keep with themselves in a liquid form. Commercial banks generally make use of this money to purchase government securities.

- Thus, the statutory liquidity ratio, on the one hand, is used to siphon off the excess liquidity of the banking system, and on the other, it is used to mobilize revenue for the government. **SLR is a tool for controlling liquidity in the domestic market via manipulating bank credit. Hence statement 2 is correct.**
- **Marginal Standing Facility: Marginal Standing Facility (MSF) rate refers to the rate at which the scheduled banks can borrow funds overnight from RBI against government securities.** MSF is a very short-term borrowing scheme for scheduled commercial banks. Banks may borrow funds through MSF during severe cash shortage or acute shortage of liquidity. **Hence statement 1 is correct.**
- The MSF is the last resort for banks once they exhaust all borrowing options including the liquidity adjustment facility by pledging through government securities, which have a lower rate (i.e. repo rate) of interest in comparison with the MSF.
- The MSF would be a penal rate for banks and the banks can borrow funds by pledging government securities within the limits of the statutory liquidity ratio. The scheme has been introduced by RBI with the main aim of reducing volatility in the overnight lending rates in the inter-bank market and to enable smooth monetary transmission in the financial system.
- **MSF, being a penal rate, is always fixed above the repo rate.** The MSF would be the last resort for banks once they exhaust all borrowing options including the liquidity adjustment facility by pledging government securities, where the rates are lower in comparison with the MSF. **Hence statement 3 is correct.**
 - MSF represents the upper band of the interest corridor with repo rate at the middle and reverse repo as the lower band.

Q 4.C

- The Bretton Woods system of monetary management established the rules for commercial and financial relations among the United States, Canada, Western European countries, Australia, and Japan after the 1944 Bretton Woods Agreement. The Bretton Woods system was the first example of a fully negotiated monetary order intended to govern monetary relations among independent states
- **The Bretton Woods Institutions are the World Bank and the International Monetary Fund (IMF).** They were set up at a meeting of 43 countries in Bretton Woods, New Hampshire, the USA in July 1944. Their aims were to help rebuild the shattered postwar economy and to promote international economic cooperation.
- **The World Bank:** The World Bank is an international financial institution that provides loans and grants to the governments of low- and middle-income countries for the purpose of pursuing capital projects. It is headquartered in Washington D.C.
- **The IMF:** The International Monetary Fund (IMF) is an international financial institution, headquartered in Washington, D.C., consisting of 190 countries. Its stated mission is "working to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth, and reduce poverty around the world.
- **WTO:** The World Trade Organization (WTO) is an intergovernmental organization that regulates and facilitates international trade. Governments use the organization to establish, revise, and enforce the rules that govern international trade. It is headquartered in Geneva, Switzerland.
- **WEF:** The World Economic Forum is an international non-governmental and lobbying organization based in Cologny, canton of Geneva, Switzerland. It was founded on 24 January 1971 by German engineer and economist Klaus Schwab.
- **Hence, option (c) is the correct answer.**

Q 5.D

- According to National Commission for Enterprises in the Unorganised Sector, **an unorganized sector** refers to production or service-oriented **enterprise owned by individuals or self-employed** workers and if workers are **employed**, then the total number of workers **cannot exceed 10**. Central Statistical Organisation uses the term organized enterprise as small units with ten or more workers **with power or 20 or more workers without power for the manufacturing sector. Hence, statement 1 is not correct.**
- The term 'unorganized worker' is defined in India under **Section 2(m) of the Unorganized Workers Social Security Act, 2008**. An unorganized worker is a home-based worker or a self-employed worker or a wage worker in the unorganized sector and includes a worker in the organized sector who is not covered

by any of the Acts pertaining to welfare Schemes as mentioned in Schedule II of Unorganized Workers Social Security Act, 2008. **Hence, statement 2 is not correct.**

- The unorganized workers are essentially those who do not have the benefit of pension, provident fund, gratuity, maternity leave etc. and work mostly on daily/hourly wages. They are not represented by active trade unions.

Q 6.C

- **Recent context: Former Twitter CEO Jack Dorsey recently announced his vision for a new decentralized web platform that is being called Web 5.0 and is being built with an aim to return “ownership of data and identity to individuals”.**
- What do the terms Web 1.0, Web 2.0 and Web 3.0 mean?
 - **Web 1.0** was the first generation of the global digital communications network. It is often referred to as the “**read-only**” Internet made of static web-pages that only allowed for passive engagement.
 - **Web 2.0** was the “read and write” Internet. Users were now able to communicate with servers and other users leading to the creation of the social web. This is the **World Wide Web** that we use today.
 - **Web 3.0** is an evolving term that is used to refer to the next generation of Internet – a “**read-write-execute**” web – with **decentralization** as its bedrock. It leverages the blockchain technology and will be driven by Artificial Intelligence and machine learning.
 - **Web 4.0** services will be autonomous, proactive, content-exploring, self-learning, collaborative, and content-generating agents based on fully matured semantic and reasoning technologies as well as AI. They will support adaptive content presentation that will use the Webdatabase via an intelligent agent. **Examples might be services interacting with sensors and implants, natural-language services, or virtual reality services.**
- **What is Web 5.0?**
 - Web 5.0 is aimed at building an **extra decentralized web** that puts you in control of your data and identity.
 - Simply put, Web 5.0 is Web 2.0 plus Web 3.0 that will allow users to ‘**own their identity**’ on the Internet and ‘**control their data**’. **Hence statement 2 is correct.**
 - Both Web 3.0 and Web 5.0 envision an **Internet without threat of censorship** – from governments or big tech, and without fear of significant outages. **Hence statement 1 is correct.**

Q 7.A

- In WTO terminology, subsidies in general are identified by “boxes” which are given the colours of traffic lights: green (permitted), amber (slow down — i.e. need to be reduced), red (forbidden). In agriculture, things are, as usual, more complicated. The Agriculture Agreement has no red box, although domestic support exceeding the reduction commitment levels in the amber box is prohibited; and there is a blue box for subsidies that are tied to programmes that limit production.
- **Amber Box:** Nearly all domestic support measures considered to distort production and trade (with some exceptions) fall into the amber box. These include measures to support prices, or subsidies directly related to production quantities.
- **Green Box:** The green box is defined in Annex 2 of the Agriculture Agreement. In order to qualify, green box subsidies must not distort trade, or at most cause minimal distortion. They have to be government-funded (not by charging consumers higher prices) and must not involve price support.
 - They tend to be programmes that are not targeted at particular products, and include direct income supports for farmers that are not related to (are “decoupled” from) current production levels or prices. They also include environmental protection and regional development programmes.
 - **Green box” subsidies are therefore allowed without limits**, provided they comply with the policy-specific criteria. **Hence, statement 1 is correct.**
 - **India's Public distribution system does not come under the Green Box. Hence, statement 2 is not correct.**

- **Blue Box:** This is the “amber box with conditions” — conditions designed to reduce distortion. Any support that would normally be in the amber box, is placed in the blue box if the support also requires farmers to limit production. At present there are no limits on spending on blue box subsidies.

Q 8.C

- Article 292 of the Indian Constitution states that the Government of India can borrow amounts specified by the Parliament from time to time. Article 293 of the Indian Constitution mandates that the State Governments in India can borrow only from internal sources. Thus the Government of India incurs both external and internal debt, while State Governments incur only internal debt. As per the recommendations of the 12th Finance Commission, access to external financing by the States for various projects is facilitated by the Central Government, which provides the sovereign guarantee for these borrowings. From April 1, 2005, all general category states borrow from multi-lateral and bilateral agencies (World Bank, ADB etc.) on a back-to-back basis viz. the interest cost and the risk emanating from currency and exchange rate fluctuations are passed on to States. In the case of special category states (North-eastern states, Himachal, Uttarakhand and J&K), external borrowings of state governments are given by the Union Government as 90 per cent loan and 10 per cent grant.
- In India, total Central Government Liabilities constitute the following three categories;
 - [i] Internal Debt.
 - [ii] External Debt.
 - [iii] Public Account Liabilities
- **Public Debt in India includes only Internal and External Debt incurred by the Central Government. Internal Debt includes liabilities incurred by resident units in the Indian economy to other resident units, while External Debt includes liabilities incurred by residents to non-residents.**
- **The major instruments covered under Internal Debt are as follows:**
 - **Dated Securities:** Primarily fixed coupon securities of short, medium and long-term maturity which have a specified redemption date. These are the single most important component of financing the fiscal deficit of the Central Government (around 91 % in 2010-11) with an average maturity of around 10 years. **Hence option 2 is correct.**
 - **Treasury-Bills:** Zero-coupon securities that are issued at a discount and redeemed in face value at maturity. These are issued to address short term receipt-expenditure mismatches under the auction program of the Government. These are primarily issued in three tenors, 91,182 and 364 days.
 - **14-Day Treasury Bills.**
 - **Securities issued to International Financial Institutions:** Securities issued to institutions viz. IMF, IBRD, IDA, ADB, IFAD etc. for India’s contributions to these institutions etc. **Hence option 1 is correct.**
 - **Securities issued against ‘Small Savings’:** All deposits under small savings schemes are credited to the National Small Savings Fund (NSSF). The balance in the NSSF (net of withdrawals) is invested in special Government securities.
 - **Market Stabilization Scheme (MSS) Bonds:** Governed by a MoU between the GoI and the RBI, MSS was created to assist the RBI in managing its sterilization operations. GoI borrows under this scheme from the RBI, while proceeds from such borrowings are maintained in a separate cash account with the latter and is used only for redemption of T-bills /dated securities raised under this scheme. **Hence option 3 is correct.**
- **Gross External Debt,** is defined as the outstanding amount of those actual current liabilities, that require payment(s) of principal and/or interest by the debtor, in the future as per the terms laid out in the contract between the debtor and the creditor and that are owed to non-residents by the residents of the economy.
- In India, (Gross) External Debt is classified primarily into Long term and Short term:
 - **Long-Term debt** is further classified into (a) Multilateral Debt (b) Bilateral Debt (c) ‘IMF’ signifying SDR allocations to India by the IMF (c) Export Credit (d) (External) Commercial Borrowings (e) **NRI Deposits** and (d) Rupee Debt. **Hence option 4 is not correct.**

- **Short Term Debt** is classified into (a) Trade Credits (of up to 6 months and above 6 months and up to 1 year) (b) Foreign Institutional Investors' (FII) Investment in Government Treasury-Bills and Corporate Securities (c) Investment in Treasury-bills by foreign Central Banks and International Institutions etc. and (iv) External Debt liabilities of the Central Bank and Commercial Banks.

Q 9.B

- **Bank rate is the rate at which central bank lends money to the commercial banks by buying their eligible rated securities - bills of exchange or commercial paper.**
- A change in bank rate affects other market rates of interest. An increase in bank rate leads to an increase in other rates of interest, and conversely, a decrease in bank rate results in a fall in other rates of interest. Bank rate is also referred to as the discount rate. A deliberate manipulation of the bank rate by the Reserve Bank to influence the flow of credit created by the commercial banks is known as bank rate policy.
- **An increase in bank rate results in an increase in the cost of credit or cost of borrowing. This in turn leads to a contraction in demand for credit. A contraction in demand for credit restricts the total availability of money in the economy, and hence loans taken by the commercial banks become more expensive. Hence statement 1 is not correct.**
- **The RBI can influence money supply by changing the rate at which it gives loans to the commercial banks. This rate is called the Bank Rate in India. By increasing the bank rate, loans taken by commercial banks become more expensive; this reduces the reserves held by the commercial bank and hence decreases money supply. A fall in the bank rate can increase the money supply. Hence statement 2 is correct.**
 - An increase in bank rate leads to decrease in reserves of the banks, which decreases the money supply in the economy.
 - A low (or high) bank rate encourages banks to keep the smaller (or greater) proportion of their deposits as reserves, since borrowing from RBI is now less (or more) costly than before. As a result, banks use a greater(or smaller) proportion of their resources for giving out loans to borrowers or investors, thereby enhancing (or depressing) the multiplier process via assisting(or resisting) secondary money creation. In short, a low (or high) bank rate reduces(or increases) r_{dr} and hence increases (or decreases) the value of the money multiplier, which is $(1 + c_{dr})/(c_{dr} + r_{dr})$. Thus, for any given amount of high-powered money, H , total money supply goes up.
- Penal rates are linked with Bank Rates. For instance, if a bank does not maintain the required levels of CRR and SLR, then RBI can impose a penalty on such banks.
- Nowadays, the bank rate is not used a tool to control money supply, rather LAF (Repo Rate) is used to control the money supply in the economy.

Q 10.C

- **The currency deposit ratio (cdr) is the ratio of money held by the public in currency to that they hold in bank deposits.** $c_{dr} = CU/DD$. If a person gets Re 1 she will put Rs $1/(1 + c_{dr})$ in her bank account and keep Rs $c_{dr}/(1 + c_{dr})$ in cash. **Hence statement 1 is correct.**
- **It reflects people's preference for liquidity.** It is a purely behavioral parameter that depends, among other things, on the seasonal pattern of expenditure. For example, c_{dr} increases during the festive season as people convert deposits to cash balance for meeting extra expenditures during such periods. **Hence statement 2 is correct.**

Q 11.A

- Fiscal Responsibility and Budget Management (FRBM) became an Act in 2003. The objective of the Act is to ensure inter-generational equity in fiscal management, long-run macroeconomic stability, better coordination between fiscal and monetary policy, and transparency in the fiscal operation of the Government.
- FRBM Act provides a legal institutional framework for fiscal consolidation. **It is now mandatory for the Central government to take measures to reduce the fiscal deficit, eliminate revenue deficit and generate revenue surplus in the subsequent years.** The Act binds not only the present government but also the future Government to adhere to the path of fiscal consolidation. The Government can move away from the path of fiscal consolidation only in case of natural calamity, national security and other exceptional grounds that Central Government may specify. **Hence statement 2 is not correct.**

- Further, **the Act prohibits borrowing by the government from the Reserve Bank of India, thereby, making monetary policy independent of fiscal policy. The Act bans the purchase of primary issues of the Central Government securities by the RBI after 2006, preventing monetization of government deficit.** The Act also requires the government to lay before the parliament three policy statements in each financial year namely Medium Term Fiscal Policy Statement; Fiscal Policy Strategy Statement and Macroeconomic Framework Policy Statement. **Hence statement 1 is correct.**
- Through Finance Act 2012, amendments were made to the Fiscal Responsibility and Budget Management Act, 2003 through which it was decided that in addition to the existing three documents, the Central Government shall lay another document - the Medium Term Expenditure Framework Statement (MTEF) - before both Houses of Parliament in the Session immediately following the Session of Parliament in which Medium-Term Fiscal Policy Statement, Fiscal Policy Strategy Statement and Macroeconomic Framework Statement are laid.
- The concepts of the **“Effective Revenue Deficit” and “Medium Term Expenditure Framework” statement are the two important features of the amendment to the FRBM Act** in the direction of expenditure reforms. Effective Revenue Deficit is the difference between revenue deficit and grants for the creation of capital assets. This will help in reducing the consumptive component of the revenue deficit and create space for increased capital spending. Effective revenue deficit has now become a new fiscal parameter. The “Medium-term Expenditure Framework” statement will set forth a three-year rolling target for expenditure indicators.

Q 12.D

- Special Drawing Rights (SDR) is an international reserve asset, created by the IMF in 1969 to supplement its member countries' official reserves. To date, a total of SDR 660.7 billion (equivalent to about US\$943 billion) have been allocated.
- **The value of the SDR is based on a basket of five currencies**—the U.S. dollar, the euro, the Chinese renminbi, the Japanese yen, and the British pound sterling.
 - Currencies included in the SDR basket have to meet two criteria: the export criterion and the freely usable criterion.
- The SDR serves as the unit of account of the IMF and other international organizations. **The SDR is neither a currency nor a claim on the IMF.** Rather, it is a potential claim on the freely usable currencies of IMF members. SDRs can be exchanged for these currencies.
- **The SDR value in terms of the U.S. dollar is determined daily based on the spot exchange rates observed at around noon London time. Hence, option (d) is correct.**
- The IMF has the authority to prescribe other holders of SDRs, nonmembers, member countries that are not SDR Department Participants. **SDRs cannot be held by private entities or individuals.**

Q 13.B

- The National Sample Survey Organization (NSSO) provides three different estimates of employment and unemployment based on different approaches / reference periods used to classify an individual's activity status. These are the
 - Usual status approach with a reference period of 365 days preceding the date of survey. **Hence statement 1 is not correct.**
 - Current weekly status approach with a reference period of seven days preceding the date of survey
 - Current daily status approach with each day of the seven days preceding date of survey as the reference period. **Hence statement 2 is correct.**
- **The Usual Status approach** to measuring unemployment uses a reference period of 365 days i.e. one year preceding the date of the survey of NSSO for measuring unemployment. This approach records only those persons as unemployed who had no gainful work for a major time during the 365 days preceding the date of the survey and are seeking or are available for work. Thus, the estimates of unemployment obtained on the basis of the usual status approach are expected to capture long-term unemployment.
 - The usual status approach to measuring unemployment fails to capture the short-term fluctuations in employment and unemployment caused due to seasonality in labour markets. However, Current

Weekly Status (CWS) measures these short-term fluctuations very well owing to its shorter reference period of a week. **Hence statement 3 is correct.**

- **The Current Weekly Status (CWS) approach** to measuring unemployment uses seven days preceding the date of the survey as the reference period.
 - A person is considered to be employed if he or she pursues any one or more of the gainful activities for at least one-hour on any day of the reference week. On the other hand, if a person does not pursue any gainful activity, but has been seeking or available for work, the person is considered as unemployed.
- **The current daily status** approach to measuring unemployment seeks to ascertain the activity status of an individual for each day of the reference week. It reports time disposition of an individual on each day of the reference week. This means that in addition to recording the activity being pursued, time-intensity is also recorded in quantitative terms for each day of the reference week.

Q 14.D

- **Recent Context: While setting aside National Green Tribunal (NGT) ban on construction at Rushikonda Hills in Visakhapatnam, Supreme Court said that NGT is subordinate to the High Court in so far as territorial jurisdiction is concerned.**
- While High Courts are established by the Constitution, Tribunals are established under the **Constitution, Acts of Parliament or State Legislatures. Hence, statement 1 is not correct.**
- While High Courts consist of judicial members only, Tribunals consist of a **mix of judicial members and experts with special knowledge. Hence, statement 2 is not correct.**
- **Tribunals are limited to the laws under which they are set** while High Courts have the power to use all the enacted laws before making a decision. **Hence, statement 3 is not correct.**

Q 15.C

- The Local Area Banks (LABs) are small private banks, conceived as low cost structures which would provide efficient and competitive financial intermediation services in a limited area of operation, i.e., primarily in rural and semi-urban areas, comprising three contiguous districts.
- **LABs were set up to enable the mobilization of rural savings by local institutions** and, at the same time, to make them available for investments in the local areas. **Hence statement 1 is correct.**
- Since LABs are being set up in district towns, their activities are focused on the local customers with lending primarily to agriculture and allied activities, small scale industries, agro-industrial activities, trading activities and the non-farm sector.
- LABs are also required to observe the priority sector lending targets at 40% of net bank credit (NBC) as applicable to other domestic banks such as scheduled commercial banks. **Hence statement 2 is correct.**
 - Within the above target, these banks will adhere to the requirement of lending at least 25% of their priority sector deployments (10% of NBC) to the weaker sections.
- In 2014, RBI has permitted LABs to be converted into small finance banks subject to them meeting the prescribed eligibility criteria.

Q 16.C

- **Recently, a delegation of MLAs from Gujarat visited the Uttar Pradesh Legislative Assembly to learn about the novel e-Vidhan system for paperless proceedings that has been recently adopted by the UP state assembly.**
- **e-Vidhan is a Mission Mode Project to digitize and make the functioning of State Legislatures paperless.** This is part of Digital India programme and **the Ministry of Parliamentary Affairs**, being the Nodal Ministry for this project, desires to roll out e-Vidhan as NeVA covering all 40 Houses including two Houses of Parliament and thereby putting all them on a single platform and proving the theory of 'One Nation One Application'. **Hence, statement 2 is correct.**
- **NeVA is a work-flow system deployed on NIC Cloud, MeghRaj** which helps the Chair of the House to conduct the proceedings of the House smoothly, Members to carry out their duties in the House efficiently and to conduct Legislative Business of the House in a Paperless manner. **Hence, statement 1 is correct.**

- NeVA is a device neutral and member centric application created to equip them to handle diverse House Business smartly by putting entire information regarding member contact details, rules of procedure, list of business, notices, bulletins, bills, starred/unstarred questions and answers, papers laid, committee reports etc. in their hand held devices/ tablets and equip all Legislatures/ Departments to handle it efficiently. **NeVA will completely eliminate the process of sending out a notice/request for the collection of data.**

Q 17.D

- **Recent Context: Organization of Islamic Cooperation (OIC) and the six-member Gulf Cooperation Council (GCC) strongly opposed the remarks defaming Islam and the Prophet Muhammad by the now-suspended and expelled BJP leaders Nupur Sharma and Naveen Kumar Jindal.**
- Over the five years from 2017 through 2021, Iran and the GCC member states comprising the UAE, Saudi Arabia, Bahrain, Oman, Kuwait and Qatar accounted for a 15.3% share of India's cumulative two-way merchandise trade of \$3.98 trillion in that period, according to statistics available on the UN Comtrade database.
 - Of the \$609 billion of exports and imports that the seven countries accounted for in this period, the **UAE contributed the lion's share of \$277.4 billion, or almost 7%, making it one of India's largest trading partners.** Saudi Arabia was next with \$153 billion. **Hence statement 2 is not correct.**
- India's dependence on Gulf countries for its energy needs:
 - Observer Research Foundation (ORF) analysed that the share of Gulf countries of India's total crude oil imports **has remained fairly stable over the past 15 years at around 60%. Hence statement 1 is not correct.**
 - The ORF study found that in 2020-21, India's top oil exporter was Iraq with a share of over 22%, followed by Saudi Arabia – at around 18%.
 - UAE, Kuwait and Oman were other Gulf countries among the top-10 suppliers of crude oil to India in 2020-21.

Q 18.C

- **According to Article 112 of the Indian Constitution, the Union Budget of a year is referred to as the Annual Financial Statement.** It is a statement of the estimated receipts and expenditure of the Government in a financial year (which begins on 01 April of the current year and ends on 31 March of the following year). In addition to it, the Budget contains:
 - Estimates of revenue and capital receipts,
 - Ways and means to raise the revenue,
 - Estimates of expenditure,
 - Details of the actual receipts and expenditure of the closing financial year and the reasons for any deficit or surplus in that year, and
 - The economic and financial policy of the coming year, i.e., taxation proposals, prospects of revenue, spending program, and introduction of new schemes/projects.
- **Fiscal Deficit:** It is the gap between the government's expenditure requirements and its receipts. This equals the money the government needs to borrow during the year. A surplus arises if receipts are more than expenditures.

$$\text{Fiscal Deficit} = \text{Total expenditure} - (\text{Revenue receipts} + \text{Non-debt creating capital receipts})$$
- From the financing side: **Gross fiscal deficit = Net borrowing at home + Borrowing from RBI + Borrowing from abroad.** The gross fiscal deficit is a key variable in judging the financial health of the public sector and the stability of the economy.
- **Gross Primary Deficit is Gross Fiscal Deficit minus Net interest liabilities.** Net Primary Deficit is Net Fiscal Deficit minus net interest payments. The net **interest payment is interest paid minus interest receipt.** A shrinking primary deficit indicates progress towards fiscal health. **Hence statement 2 is correct.**
- **Effective Revenue deficit is a term introduced in the Union Budget 2011-12.** While revenue deficit is the difference between revenue receipts and revenue expenditure, the present accounting system includes

all grants from the Union Government to the state governments/Union territories/other bodies as revenue expenditure, even if they are used to create assets. Such assets created by the sub-national governments/bodies are owned by them and not by the Union Government. Nevertheless, they do result in the creation of durable assets; an **effective revenue deficit excludes those revenue expenditures (or transfers) in the form of grants for the creation of capital assets.**

- **In short, Effective Revenue Deficit is the difference between revenue deficit and grants for the creation of capital assets. Effective Revenue Deficit signifies that amount of capital receipts that are being used for actual consumption expenditure of the Government. Hence statement 1 is correct.**

Q 19.C

- **Prime Minister Narendra Modi is going to inaugurate the Sant Tukaram Shila Mandir in the temple town of Dehu in Pune district.**
- **Sant Tukaram Maharaj** was a 17th-century Marathi poet and Hindu Saint.
- **He worshipped the famous deity of Vishnu known as Vitthala (or Vitobha) in Pandharpur, Maharashtra.** He was part of an important Vaishnava tradition known as Dasa Kuta and which is still influential today. Other poet saints such as Namdev (1270–1350) also came in this line.
- The Bhakti saint Sant Tukaram had sat on this piece of rock for 13 continuous days when challenged about the authenticity of the **Abhangas** he had written.
- **Sant Tukaram and his work are central to the Warkari sect spread across Maharashtra. His message about a casteless society and his denial of rituals had led to a social movement. Sant Tukaram is credited with starting the Wari pilgrimage.**
- The Wari sees lakhs of devotees congregating in the temple towns of Dehu and Alandi to accompany the padukas of Sant Tukaram and Sant Dyaneshwar respectively as they start for Pandharpur. Participants finish their sowing before they set off. The pilgrims reach Pandharpur on the day of Ekadashi with the Chief Minister performing the mahapuja.
- **Hence, option (c) is the correct answer.**

Q 20.A

- **Recent Context:** India looks forward to joining the NSG, says External Affairs Minister Jaishankar.
- Multilateral Export Control Regimes (MECR) are voluntary and non-binding agreements created by the major supplier countries that have agreed to co-operate in their effort to prevent and regulate the transfer of certain military and dual use technology. It aims at preventing the proliferation of Weapons of Mass Destruction.
 - They are independent of the United Nations.
 - Their regulations apply only to members and it is not obligatory for a country to join.
 - **India is now a member of three of the four MECRs, except the Nuclear supplier Group. Hence option (a) is the correct answer.**
- **Wassenaar Arrangement:**
 - The Wassenaar Arrangement is a voluntary export control regime. The Arrangement, formally established in July 1996, has 42 members who exchange information on transfers of conventional weapons and dual-use goods and technologies.
 - **Dual-use refers** to the ability of a good or technology to be used for multiple purposes - usually peaceful and military.
 - Wassenaar Arrangement's Secretariat is in Vienna, Austria.
 - India was inducted to the Wassenaar Arrangement on 7 December, 2017 as the 42nd member.
- **Nuclear Suppliers Group:**
 - The Nuclear Suppliers Group (NSG) is a group of nuclear supplier countries that seeks to contribute to the non-proliferation of nuclear weapons through the implementation of two sets of Guidelines for nuclear exports and nuclear-related exports.
 - The NSG came into being as a response to the 1974 nuclear tests by India.
 - It has 48 participating governments.
 - India is not a member of the NSG because all its efforts were consistently blocked by China and some other members.

- India's bid for membership being blocked on the ground of India being a non-signatory to the nuclear non-proliferation treaty.
- **Australia Group:**
 - It is an informal association of member states that aims to minimize risk of proliferation of chemical and biological weapons.
 - The formation of the Australia Group (AG) in 1985 was prompted by Iraq's use of chemical weapons during the Iran-Iraq War (1980-1988).
 - India joined the Australia Group (AG) on 19 January 2018.
- **Missile Technology Control Regime (MTCR):**
 - It is an informal political understanding among states that seek to limit proliferation of missiles and missile technology.
 - Formed in 1987 by G-7 countries.
 - It is not legally binding.
 - India was inducted into the Missile Technology Control Regime in 2016 as the 35th member.

Q 21.C

- The expenditure method is a system for calculating gross domestic product (GDP) that combines consumption, investment, government spending, and net exports. It is the most common way to estimate GDP.
- In an economy, there are three main agencies, which buy goods and services. These are: Households, Firms, and the Government.
 - It says everything that the private sector, including consumers and private firms, and government spend within the borders of a particular country, must add up to the total value of all finished goods and services produced over a certain period of time.
- This final expenditure is made up of the sum of 4 expenditure items, i.e $GDP = C + I + G + X - M$ namely:
 - **Consumption (C):** Personal Consumption made by households, the payment of which is paid by households directly to the firms which produced the goods and services desired by the households. **Hence option 1 is correct.**
 - **Investment Expenditure (I):** Investment is an addition to the capital stock of an economy in a given time period. It includes capital expenditures by firms on assets, such as equipment, production facilities, and plants.
 - **It is to be noted that final investment includes investment on capital goods and not on intermediate goods. Hence option 2 is not correct and option 3 is correct.**
 - **Government Expenditure (G):** It represents expenditures by the government on defense and non-defense goods and services, such as weaponry, health care, and education.
 - **Government expenditure on pension schemes, scholarships, unemployment allowances etc. are not included in this as all of them come under transfer payments. Hence option 4 is not correct.**
 - **Net Exports (X-IM):** Expenditure on foreign-made products (Imports) are expenditure that escapes the system, and must be subtracted from total expenditures. In turn, goods produced by domestic firms which are demanded by foreign economies involve expenditure by other economies on our production (Exports), and are included in total expenditure. The combination of the two gives us Net Exports.

Q 22.D

- The World Bank Group is one of the world's largest sources of funding and knowledge for developing countries. Its five institutions share a commitment to reducing poverty, increasing shared prosperity, and promoting sustainable development. The Five institutions include
 - **International Bank for Reconstruction and Development (IBRD):** The world's largest development bank, IBRD provides financial products and policy advice to help countries reduce poverty and extend the benefits of sustainable growth to all of their people.
 - **International Development Association (IDA):** It is the part of the World Bank that helps the world's poorest countries. Established in 1960, IDA aims to reduce poverty by providing zero to low-interest loans (called "credits") and grants for programs that boost economic growth,

reduce inequalities, and improve people's living conditions. Hence, pair 2 is not correctly matched.

- **International Finance Corporation (IFC):** IFC, a member of the World Bank Group, advances economic development and improves the lives of people by encouraging the growth of the private sector in developing countries. Hence, pair 1 is not correctly matched.
- **Multilateral Investment Guarantee Agency (MIGA):** MIGA's goal is to promote foreign direct investment into developing countries to support growth. Hence, pair 3 is correctly matched.
- **International Centre for Settlement of Investment Disputes (ICSID):** ICSID is the world's leading institution devoted to international investment dispute settlement. It has extensive experience in this field, having administered the majority of all international investment cases.

Q 23.B

- **The GDP measures the aggregate production of final goods and services taking place within the domestic economy.** It refers to total market value of all the final goods and services produced in an economy in a given period of time. For India, this time period is from 1st April to 31st March.
- This means it measures the value of final goods and services produced within a geographic boundary regardless of the nationality of the individual or firm. **Therefore, goods and services produced by a foreign national within the territory of India, is also calculated in GDP. Hence statement (b) is the correct answer.**
- In GDP, **only the final output of such goods and services are included.**
- The rule that only finished or final goods must be counted is necessary to avoid double or triple counting of raw materials, intermediate products, and final products. For example, the value of automobiles already includes the value of the steel, glass, rubber, and other components that have been used to make them.
- As the GDP takes into account only the goods and services produced within the domestic territory, **the goods and services produced by Indian citizens in foreign territory is not included.**
- **GDP does not take into account externalities such as pollution from refinery of crude oil.** Externalities refer to the benefits (or harms) a firm or individual causes to another for which they are not paid (or penalized).
 - Externalities do not have any market in which they can be bought and sold. For example, let us suppose there is an oil refinery that refines crude petroleum and sells it in the market. The output of the refinery is the amount of oil it refines. We can estimate the value-added of the refinery by deducting the value of intermediate goods used by the refinery (crude oil in this case) from the value of its output. The value-added of the refinery will be counted as part of the GDP of the economy. But in carrying out the production the refinery may also be polluting the nearby river. This may cause harm to the people who use the water of the river.
 - Hence their utility will fall. Pollution may also kill fish or other organisms of the river on which fish survive. As a result, the fishermen of the river may be losing their income and utility. Such harmful effects that the refinery is inflicting on others, for which it does not have to bear any cost, are called externalities.
 - In this case, the GDP is not taking into account such negative externalities. Therefore, if we take GDP as a measure of the welfare of the economy we shall be overestimating the actual welfare. This was an example of a negative externality. There can be cases of positive externalities as well. In such cases, GDP will underestimate the actual welfare of the economy.

Q 24.A

- The **Green Revolution** refers to the **large increase in the production of food grains** resulting from the **use of high-yielding variety (HYV) seeds**, especially for wheat and rice. In India, the Green Revolution was mainly led by **M.S. Swaminathan**. Hence statement 2 is correct.
- The use of these HYV seeds **required the use of fertilizer and pesticide in the correct quantities as well as a regular supply of water (reliable irrigation facilities)**; the application of these inputs in correct proportions is vital. The farmers who could benefit from HYV seeds required reliable irrigation facilities as well as the financial resources to purchase fertilizer and pesticides. As a result, in the first

phase of the green revolution (**the approximately mid-1960s up to the mid 1970s**), the use of HYV seeds was restricted to the more affluent states such as Punjab, Andhra Pradesh, and Tamil Nadu.

- As per famous **economist C.H. Hanumantha Rao**, a good proportion of the rice and wheat produced during the green revolution period (available as **marketed surplus**) was sold by the farmers in the market. As a result, the **price of food grains declined relative to other items** of consumption. **Hence statements 1 and 3 are not correct.**
- The government provided loans at a **low-interest rate to small farmers and subsidized fertilizers** so that small farmers could also have access to the needed inputs. Since the small farmers could obtain the required inputs, the **output on small farms equaled the output on large farms** in the course of time. As a result, the green revolution benefited small as well as rich farmers.

Q 25.C

- The Gross Domestic Product (GDP) deflator is a measure of general price inflation. It is calculated by dividing nominal GDP by real GDP and then multiplying by 100. **Therefore, it is a ratio of nominal GDP to the real GDP. Hence statement 1 is correct.**
 - **GDP Deflator = Nominal GDP/Real GDP x 100**
- Nominal GDP is the market value of goods and services produced in an economy, unadjusted for inflation (It is the GDP measured at current prices). Real GDP is nominal GDP, adjusted for inflation to reflect changes in real output (It is the GDP measured at constant prices). **Therefore, it indicates the change in prices of commodities from the base year to the current year.**
 - For example, suppose a country only produces bread. In the year 2000, it had produced 100 units of bread, the price was Rs 10 per bread. GDP at the current price was Rs 1,000. In 2001 the same country produced 110 units of bread at a price of Rs 15 per bread. Therefore nominal GDP in 2001 was Rs 1,650 (=110 × Rs 15). Real GDP in 2001 calculated at the price of the year 2000 (2000 will be called the base year) will be 110 × Rs 10 = Rs 1,100.
 - The GDP deflator is $1,650/1,100 = 1.50$ (in percentage terms this is 150 per cent). This implies that the price of bread produced in 2001 was 1.5 times the price in 2000. Which is true because the price of bread has indeed gone up from Rs 10 to Rs 15.
- GDP deflator reflects the prices of all domestically produced goods and services in the economy whereas, other measures like CPI and WPI are based on a limited basket of goods and services, thereby not representing the entire economy (the basket of goods is changed to accommodate changes in consumption patterns, but after a considerable period of time).
- CPI and WPI may differ from GDP deflators because
 - The goods purchased by consumers do not represent all the goods that are produced in a country. GDP deflator takes into account all such goods and services.
 - CPI includes prices of goods consumed by the representative consumer, hence it includes prices of imported goods. GDP deflator does not include prices of imported goods.
 - The weights are constant in CPI – but they differ according to the production level of each good in the GDP deflator. **Hence statement 2 is correct.**
 - Changes in consumption patterns or the introduction of new goods and services or structural transformation are automatically reflected in the deflator which is not the case with other inflation measures.
- However, WPI and CPI are available on a monthly basis whereas GDP deflator comes with a lag (yearly or quarterly, after quarterly GDP data is released). Hence, the monthly change in inflation cannot be tracked using a GDP deflator, limiting its usefulness.

Q 26.C

- Labor force (also called work force) is the total number of people employed or seeking employment in a country or region. One is classified as ‘not in labor force’, if he or she was engaged in a relatively longer period in any one of the non-gainful activities.
- **The unemployment rate is defined as the percentage of persons unemployed among the persons in the labor force. Hence statement 1 is correct.**
- It is calculated as follows:
 - $\text{Unemployment rate} = (\text{Unemployed Workers} / \text{Total labor force}) \times 100$
- **The Worker participation rate is defined as the percentage of total workers (main and marginal) to the total population. Hence statement 2 is correct.**
- It is calculated as follows:
 - $\text{Work participation rate} = (\text{Total Workers} / \text{Total Population}) \times 100$

Q 27.A

- **Recent context:** The Indian Farmers Fertiliser Cooperative (IFFCO) has started commercial production of 'nano urea liquid', a first-of-its-kind product.
- **Liquid nano Urea is a patented chemical nitrogen fertiliser developed by IFFCO's Nano Biotechnology Research Centre at Kalol with nano nitrogen particles. Hence statement 3 is correct.**
 - Nano urea is bio available to plants because of its desirable particle size about 20-50 nm and more surface area (10,000 times over 1 mm urea prill) and number of particles (55,000 nitrogen particles over 1 mm urea prill). Hence, Nano Urea increases its availability to crop by more than 80% resulting in higher Nutrient Use efficiency. **Hence statement 2 is correct.**
 - One nanometre is equal to a billionth of a metre.
 - It is sprayed directly on the leaves of plants and gets absorbed by the stomata-pores found on the epidermis of leaves.
- **Benefits of Nano urea:**
 - Improved agricultural produce with reduced urea consumption as the efficiency of liquid nano urea is as high as 85-90% in comparison to 25% of conventional urea.
 - Significant reduction in urea imports, government subsidies and logistics cost.
 - Reduced soil, water and air pollution from urea, improving quality of underground water and reduction in global warming. **Hence statement 1 is correct.**
 - Higher shelf life as no issue of caking on coming into contact with moisture.
- **Other Potential Nanotechnology Opportunities in Agriculture**
 - Use of Nanoformulations of herbicides, pesticides and other fertilizers.
 - Use of Nanosensors to identify diseases and residues of agrochemicals.
 - For genetic improvement of plants to increase productivity, nutritional value or shelf life.

Q 28.A

- Fiscal policy is the use of government revenue collection (mainly taxes but also non-tax revenues such as divestment, loans) and expenditure (spending) to influence the economy. Through fiscal policy, the government of a country controls the flow of tax revenues and public expenditure to navigate the economy. If the government receives more revenue than it spends, it runs a surplus, while if it spends more than the tax and non-tax receipts, it runs a deficit.
- **Contractionary fiscal policy is when the government either cuts spending or raises taxes.** It gets its name from the way it contracts the economy. It reduces the amount of money available for businesses and consumers to spend.
- This policy involves **raising taxes or cutting government spending**, so that (**Government spending < Tax revenue**) it **cuts upon the aggregate demand (thus, economic growth) and reduces the inflationary pressures in the economy.**
- The following can be potential traits of Contractionary Fiscal Policy as they aid in increasing the revenue of the government:
 - **Decreased expenditure in infrastructure development such as the building of schools, hospitals**
 - **Decrease in Subsidies and pensions**
 - **Increased Tax rates (specially on sin goods, so as to increase the revenue available)**
 - **Cutting incentives of employees to work, stagnation of wages**
- All these traits and methods, involve shrinking or contracting the economy, the money left in the hands of the consumer decreases, leading to decrease in the Purchasing power, which theoretically leads to reduced inflation.
- **Hence option (a) is the correct answer**

Q 29.B

- The Reserve Bank of India or RBI mandates that banks store a proportion of their deposits in the form of cash so that the same can be given to the bank's customers if the need arises.
- **The percentage of cash required to be kept in reserves, vis-a-vis a bank's total deposits, is called the Cash Reserve Ratio. The cash reserve is kept with the RBI. Hence statement 1 is not correct.**
- **Banks do not get any interest on the money that is with the RBI under the CRR requirements. The percentage of the CRR is decided by the RBI.**

- Unlike Statutory Liquidity Ratio or SLR, which can be maintained in either gold or cash, **CRR needs to be maintained only in cash.**
- CRR helps in keeping inflation under control. At the time of high inflation in the economy, RBI increases the CRR, so that banks need to keep more money in reserves so that they have less money to lend further.
- As per the RBI Act 1934, all Scheduled Commercial Banks (that includes public and private sector banks, foreign banks, regional rural banks and co-operative banks) are required to maintain a cash balance on average with the RBI on a fortnightly basis to cater to the CRR requirement.
 - **Non Bank Financial Corporations (NBFCs) are outside the purview of this reserve requirement. Hence statement 2 is correct.**

Q 30.B

- Foreign Exchange Rate (also called Forex Rate) is the price of one currency in terms of another. It links the currencies of different countries and enables the comparison of international costs and prices. For example, if we have to pay Rs 50 for \$1 then the exchange rate is Rs 50 per dollar.
- People demand foreign exchange because they want to purchase goods and services from other countries; they want to send gifts abroad; and, they want to purchase financial assets of a certain country.
- **A rise in the price of foreign exchange will increase the cost (in terms of rupees) of purchasing a foreign good.** This reduces demand for imports and hence the demand for foreign exchange also decreases, other things remaining constant.
- **A rise in the price of foreign exchange will reduce the foreigner's cost (in terms of USD) while purchasing products from India, other things remaining constant. This increases India's exports** and hence the supply of foreign exchange may increase.
- **Hence, option (b) is the correct answer.**

Q 31.B

- Consumer Price Index is **a measure of change in retail prices of goods and services consumed by defined population group** in a given area with reference to a base year. **Hence statement 1 is not correct.**
- This basket of goods and services represents the level of living or the utility derived by the consumers at given levels of their income, prices and tastes.
- **The CPI includes the prices of goods consumed by representative customers, hence it includes prices of imported goods. Hence statement 2 is correct.**
- The consumer price index measures change only in one of the factors i.e. prices. This index is an important economic indicator and is widely considered as a barometer of inflation, a tool for monitoring price stability and as a deflator in national accounts.
- Consumer price index is used as a measure of inflation in around 157 countries. The dearness allowance of Government employees and wage contracts between labour and employer is based on this index.
- In 2011 the CSO brought out a revised CPI, which was CPI (Urban), CPI (Rural) and CPI (Urban +Rural) with 2010 as the base price. CSO revised the base year of this newly set up index to 2012 in January 2015.

Q 32.C

- The Union Budget, which is presented by the Finance Minister of India, comprises Capital Budget and Revenue Budget. The Capital Budget is further categorized into capital receipts and capital expenditure.
- **Capital receipts are receipts that create liabilities or reduce financial assets.** They also refer to incoming cash flows. Capital receipts can be both non-debt and debt receipts.
- All capital receipts are tax-free unless there is a proviso to tax them. Capital receipts can be both non-debt and debt receipts.
 - Non-debt capital receipts are those which do not incur any future repayment burden for the government. Examples of non-debt capital receipts: Recovery of loans and advances, disinvestment, issue of bonus shares, etc.
 - Debt Receipts have to be repaid by the government. Around 25 percent of government expenditure is financed through borrowing. A reduction in debt receipt (or borrowing) can be a big leap for the

economy's financial health. Most of the capital receipts of the government are debt receipts. Examples of debt capital receipts: Market loans, issuance of special securities to public-sector banks, etc.

- **Capital Receipts include:**
 - loans raised by Government from the public called market loans,
 - borrowings by the Government from Reserve Bank and other parties through the sale of Treasury Bills,
 - loans received from foreign Governments and bodies,
 - disinvestment receipts
 - recoveries of loans from State and Union Territory Governments and other parties.
- **Collection and Appropriation of Direct Taxes is a part of Revenue Receipts.**
- **Hence option (c) is the correct answer.**

Q 33.B

- Money multiplier is the ratio of the total money supply to the stock of high-powered money in an economy. **Hence option (b) is the correct answer.**
 - By definition, money supply is equal to currency plus deposits
 - $M = CU + DD = (1 + cdr)DD$
 - where, $cdr = CU/DD$
 - High-powered money then consists of currency held by the public and reserves of the commercial banks, which include vault cash and banks' deposits with RBI.
 - $H = CU + R = cdr.DD + rdr.DD = (cdr + rdr)DD$
 - Thus the ratio of money supply to high powered money
 - $M/H = 1+cdr/cdr+rdr > 1$, as $rdr > 1$
 - This is precisely the measure of the money multiplier.
- **The factors affecting the Money multiplier are the: Reserve ratio (SLR, CRR) and banking habits of the population, etc.**
 - For instance, assume that X bank has received a deposit of Rs 1000 and both SLR and CRR are maintained at 10 percent respectively i.e 20 percent in total. Now, the bank will keep Rs 200 as reserves (SLR and CRR) and the rest of the amount will be made available to the public in the form of loans. Now, a borrower takes a loan of Rs 800 from the bank either for consumption or for investment purposes.
 - Suppose, the borrower has spent the loan taken for the purchase of an article. The seller of the article will receive the money and simultaneously deposit Rs 800 again with the bank. This happens because we have assumed that there is only a single bank in the economy. After receiving Rs 800 from the seller, the bank will again keep aside 20% of the amount i.e Rs 160 as reserves, and provide a loan to the public with the remaining amount. This process continues till the initial deposit of Rs 1000 becomes Rs 5000 i.e. 5 times the initial deposit.
- **Reserve deposit ratio** is the fraction of their total deposits which commercial banks keep as reserves.
- **Speculative demand** is the demand for money as a store of wealth.
- **Transaction demand** is the demand for money for carrying out transactions.

Q 34.B

- **Recently, the navies of India and Indonesia began a coordinated patrol in the Andaman Sea and Malacca Strait. The 38th edition of the exercise IND-INDO CORPAT, was conducted for the first time after the COVID-19 pandemic.**
- The Strait of Malacca is a narrow stretch of water between the Malay Peninsula and the Indonesian island of Sumatra. As the main shipping channel between the Indian and Pacific oceans, it is one of the most important shipping lanes in the world.
- **It connects the Andaman Sea (Indian Ocean) with the South China Sea (Pacific Ocean).**
- It is crucial to the flow of global trade as it provides the shortest sea route between Indian Ocean and Pacific Ocean. Roughly a quarter of all oil transported by sea passes through the straits.
- **Hence, option (b) is the correct answer.**

Q 35.C

- In India, the minerals are classified as minor minerals and major minerals.
- According to **section 3(e) of the Mines and Minerals (Development and Regulation) Act, 1957** “**Minor Minerals**” means building stones, gravel, ordinary clay, ordinary sand other than sand used for prescribed purposes, and any other mineral which the Central Government may, by notification in the Official Gazette, declare to be a minor mineral. (For the purposes of this Act, the word “minerals” includes all minerals except mineral oils- natural gas and petroleum).
- **Major minerals** are those specified in the appendices to the Mines and Minerals (Development and Regulation) Act, 1957 (MMDR Act 1957) and the common major minerals are Major Mineral are minerals like **Agate, Asbestos, Barytes, Bauxite, Cadmium, Coal. Copper, Gold, Iron ore, Lead, Lignite, Manganese, Nickel, Rock Phosphate, Tungsten, Uranium, Wollastonite, Zinc, etc.** It may be noted that there is **no official definition for “major minerals” in the MMDR Act.** Hence, whatever is not declared as a “minor mineral” may be treated as a major mineral.
- The **major-minor classification** has **nothing to do with the availability (abundance or scarcity) of these minerals**, though it is **correlated with the relative value of these minerals**. Further, this classification is based more on their end-use, rather than the level of production, level of mechanization, export, and import, etc. (eg. Sand can be a major mineral or a minor mineral depending on where it is used; the same is the case for limestone).
- **Hence option (c) is the correct answer.**

Q 36.A

- **The passage given above depicts a scenario of structural unemployment.** Structural Unemployment is a type of unemployment that can last for many years and can be caused by **changes in technology or shifting demographics**. Structural unemployment represents a long-term shift in how an economy functions, leading workers to become marginalized.
- **The causes of structural unemployment can include shifts in the economy, improvements in technology, and workers lacking the job skills that are required for them to find employment.**
- **Hence option (a) is the correct answer.**

Q 37.D

- **The process of moving from self-employment and regular salaried employment to casual wage work is called casualization of the workforce.** Casual workers are defined as those who work for others in farm or non-farm enterprises and are paid wages that are daily or periodic in nature. All daily wage-earning employees and some categories of contract employees are casual laborers. **Hence, option (d) is the correct answer.**
- The wage-paid labor is largely non-unionized due to the casual and seasonal nature of employment and the scattered location of enterprises. This sector is marked by low incomes, unstable and irregular employment, and a lack of protection either from legislation or trade unions.
- Formalization of the workforce refers to the situation wherein there is a continuous increase in the percentage of the workforce in the formal sector and a simultaneous decline in the percentage of the workforce in the informal sector. Around 90 percent workforce in India is in the —unregulated informal sector.

Q 38.C

- MSME stands for Micro, Small, and Medium Enterprises. It was introduced by the Government of India in agreement with the **MSMED (Micro, Small, and Medium Enterprises Development) Act of 2006**. As per this act, MSMEs are the enterprises involved in the processing, production, and preservation of goods and commodities.
- On 13th May 2020, Finance Minister Nirmala Sitharaman added the additional **principle of turnover along with the Investment in Plant & Machinery/equipment** to be used as **composite criteria** for classification of MSMEs in India.
- Manufacturing Enterprises and Enterprises rendering Services are classified as:

- **Micro: Investment in Plant and Machinery or Equipment** - Not more than Rs.1 crore and Annual Turnover ; not more than Rs. 5 crore.
- **Small:** Investment in Plant and Machinery or Equipment - Not more than Rs.10 crore and Annual Turnover ; not more than Rs. 50 crore.
- **Medium:** Investment in Plant and Machinery or Equipment - Not more than Rs.50 crore and Annual Turnover ; not more than Rs. 250 crore.
- **Hence, option (c) is the correct answer.**

Q 39.C

- **Recent context: 118th meeting of the India-Pakistan Permanent Indus Commission (PIC) was conducted.**
- PIC is a communication channel created under Indus Water Treaty (IWT) for the governments to gather and resolve questions about the treaty's implementation.
 - It is required to **meet at least once in a year.**
 - IWT was signed in 1960 by India and Pakistan with the **World Bank as a third-party guarantor.**
Hence option (c) is the correct answer.
 - It is a water-distribution treaty and delimits the rights and obligations of both countries concerning the use of waters on the Indus River System.
 - It consists of six main rivers with numerous tributaries.
 - Under this, waters of three eastern rivers namely **Ravi, Beas and Sutlej**, have been allocated exclusively to India.
 - Western rivers, namely **Indus, Chenab and Jhelum**, are for Pakistan with India given some rights like agriculture, navigation, domestic use and also right to generate hydroelectricity through run of the river projects.
 - IWT does not have a **unilateral exit provision**, and is supposed to remain in force unless both the countries ratify another mutually agreed pact.

Q 40.A

- **Foreign Portfolio Investors (FPI)** stands for those investors who hold a short-term view of the company, in contrast to Foreign Direct Investors (FDI). FPIs generally participate through the stock markets and get in and out of a particular stock at much faster frequencies. A short-term view is associated often with a lower stake in companies.
- Portfolio Investment by **any single investor or investor group cannot exceed 10% of the equity of an Indian company**, beyond which it will be treated as FDI. **Hence option (a) is the correct answer.**
- Foreign Portfolio Investors are permitted to **invest freely in Government Securities** with a minimum residual maturity of one year.
- The new FPI Regime came into effect on 1st June 2014 is based on recommendations of a “**Committee on Rationalization of Investment Routes and Monitoring of Foreign Portfolio Investments**” under the chairmanship of **Shri K. M. Chandrasekhar** with a view to rationalize/harmonize various foreign portfolio investment routes and to establish a unified, simple regulatory framework.

Q 41.A

- The balance of payments (BoP) records the transactions in goods, services and assets between residents of a country with the rest of the world for a specified time period typically a year. There are two main accounts in the BoP — the current account and the capital account. **Hence, statement 1 is correct.**
- The essence of international payments is that , a country that has a deficit in its current account must finance it by selling assets or by borrowing abroad. Thus, any current account deficit must be financed by a capital account surplus, that is, a net capital inflow.
- **A country is said to be in a balance of payments equilibrium when the current account deficit is financed entirely by international lending without any reserve movements. Hence, if a country is having BoP equilibrium it's official foreign exchange reserves remain unchanged. Hence, statement 2 is not correct.**
- Alternatively, the country could use its reserves of foreign exchange in order to balance any deficit in its balance of payments. The reserve bank sells foreign exchange when there is a deficit. This is called an official reserve sale. The decrease (increase) in official reserves is called the overall balance of payments deficit (surplus).

Q 42.C

- There are many ways to categorize poverty. In one such way, people who are always poor and those who are usually poor but who may sometimes have a little more money (for example casual workers) are grouped together as the chronic poor.
- **Another group is the churning poor who regularly move in and out of poverty (example: small farmers and seasonal workers)** and the occasionally poor who are rich most of the time but may sometimes have a patch of bad luck. They are called the transient poor. And then, there are those who are never poor and they are the non-poor.
- **Hence, option (c) is the correct answer.**

Q 43.C

- **Monkeypox is a viral zoonotic disease caused by the monkeypox virus. It is part of the Orthopoxvirus genus which includes variola virus (smallpox) and cowpox virus.**
- The disease is called monkeypox because it was first identified in colonies of monkeys kept for research in 1958. It was only later detected in humans in 1970.
- It is usually a self-limited disease and typically lasts 2 to 4 weeks. It may be severe in children, pregnant women or persons with immune suppression due to other health conditions
 - **The incubation period is usually 6 to 13 days and can range from 5 to 21 days.**
 - Typical symptoms include fever, headache, muscle aches, backache, lack of energy, swollen lymph nodes and a skin rash or lesions.
 - Swelling of the lymph nodes is a distinctive feature of monkeypox compared to other diseases that may initially appear similar (chickenpox, measles).
- Transmission and risk of infection:
 - **Anyone can get or pass on monkeypox.**
 - **A person with monkeypox remains infectious while they have symptoms, normally for between 2 and 4 weeks.**
 - **Monkeypox virus is transmitted from one person to another by close contact with lesions, body fluids and contaminated materials such as bedding, clothing or eating utensils.**
 - Ulcers, lesions or sores in the mouth can also be infectious, meaning the virus can spread through saliva.
 - People who closely interact with someone who is infectious, including health workers, household members and sexual partners are at greater risk of infection.
 - Transmission can also occur via the placenta from mother to fetus (which can lead to congenital monkeypox) or during close contact during and after birth.
 - It can spread to people when they come into physical contact with an infected animal. Animal hosts include rodents and primates. The risk of catching monkeypox from animals can be reduced by avoiding unprotected contact with wild animals, especially those that are sick or dead (including their meat and blood). **Hence option (c) is the correct answer.**

Q 44.B

- **A Soil Health Card (SHC)** is a printed **report card** issued to farmers **once in three years** indicating the **status of their soil** in terms of **12 parameters**. It is also accompanied by a piece of advice on the various fertilizers and other soil amendments he is supposed to make.
- The existing Nitrogen - Phosphorus - Potassium (**NPK**) **consumption ratio** in the country is highly skewed to the **preferred ratio of 4:2:1**. SHC allows field-specific detailed reports of soil fertility status and **ensures the balanced application of fertilizers**.
- The promotion of an integrated nutrient system is expected to reduce the consumption of chemical fertilizers by 20% thereby **easing the fiscal strain** on Government. The fertilizer sector accounts for a significant percentage of the total subsidies and power consumption in the country.
- India imports large quantities of various fertilizers to meet the demand (eg: 25-30 percent of Urea demand is met through imports). Thus, the soil test-based fertilizer usage will **reduce import bills** and will **also ensure higher yields per unit**.

- Over a period of time, SHC can determine changes in soil health that are affected by land management.
- Hence, option (b) is the correct answer.

Q 45.D

- **Hybrid Annuity Model (HAM)** has been introduced by the Government to **revive PPP (Public-Private Partnership) in highway construction** in India.
- HAM is a **mix of The Build Operate and Transfer (BOT) Annuity and Engineering, Procurement and Construction (EPC) Models**. As per the design, the **government will contribute 40% of the project cost in the first five years** through annual payments (annuity). The remaining payment will be made on the basis of the assets created and the performance of the developer. **Hence, statement 1 is not correct.**
- Unlike the BOT model, under HAM there is no toll right for the developer. Under HAM, **Revenue collection** would be the **responsibility of the National Highways Authority of India (NHAI)**. **Hence, statement 2 is not correct.**
- The advantage of HAM is that it **gives enough liquidity to the developer and the financial risk is shared by the government**. While the private partner continues to bear the construction and maintenance risks as in the case of the BOT (toll) model, he is required only to partly bear the financing risk. The government's policy is that the HAM will be used in the case of stalled projects where other models are not applicable.

Q 46.A

- The patent system in India is governed by the Patents Act, 1970 as amended by the Patents (Amendment) Act, 2005 and the Patents Rules, 2003
- Under the Atc, **a Patent is a statutory right for an invention granted for a limited period of time to the patentee by the Government**, in exchange of full disclosure of his invention for excluding others, from making, using, selling, importing the patented product or process for producing that product for those purposes without his consent. **Hence, statement 1 is correct.**
- **The term of every patent granted is 20 years from the date of filing of application.** However, for applications filed under the national phase under Patent Cooperation Treaty (PCT), the term of patent will be 20 years from the international filing date accorded under PCT. **Hence, statement 2 is not correct.**
- Patent protection is a territorial right and therefore it is effective only within the territory of India. There is no concept of global patent.
- **An invention relating either to a product or process that is new**, involving inventive step and capable of industrial application can be patented in India. **Hence, statement 3 is not correct.**

Q 47.A

- **Recently, Elections for 57 Rajya Sabha seats across 15 states are being held.**
- Members of the Rajya Sabha are elected through single transferable votes via an open ballot. Members of a state's Legislative Assembly vote in the Rajya Sabha elections in what is called proportional representation with the single transferable vote (STV) system. Each MLA's vote is counted only once.
- **Open ballot voting applies in elections to the Council of States only.** Every political party which has MLAs can appoint an authorised agent to verify whom its members have voted for. **Hence, statement 1 is correct.**
- Members of Legislative Assembly (MLAs) belonging to a political party shall show their ballot papers (after marking their vote) to the **authorised agent of that party only** and not to the authorised agent of other parties. As such, the same person cannot be appointed as the authorised agent of more than one party. **Hence, statement 2 is correct.**
- Independent MLAs are required to insert the marked ballot paper in the ballot box **without showing the marked ballot to any agent.** **Hence, statement 3 is not correct.**

Q 48.D

- **Recent Context:** RBI lens on neobanks amid rapid growth in customers.
- A neobank is a kind of **digital bank without any branches**. Rather than being physically present at a specific location, neobanking is entirely online. **Hence statement 1 is correct.**
- Neobanks are financial institutions that give customers a **cheaper alternative to traditional banks**.

- **They leverage technology and artificial intelligence** to offer personalised services to customers while minimising operating costs.
 - They are a broad collection of financial service providers, who primarily target tech-savvy customers, comes under the umbrella of neobanking. Basically, a neobank is a fintech firm that provides digital and mobile-first services like payments, debit cards, money transfers, lending, and more.
 - These neobanks also offer branded debit cards. **Hence statement 3 is correct.**
- Neobanks bridge the gap between the services that traditional banks offer and the evolving expectations of new-age customers. They do this by providing pers
- In India, these firms **don't have a bank licence of their own** but rely on bank partners to offer licensed services. **Hence statement 2 is correct.**
 - That's because the **Reserve Bank of India (RBI) doesn't allow banks to be 100% digital yet.**
 - **The RBI remains unwavering in prioritising banks' physical presence**, and has spoken about the need for digital banking service providers to have some physical presence as well.

RBI WORKING GROUP'S SUGGESTIONS

1 Operations of digital banks/neobanks should be covered under RBI regulations	2 More of digital-only NBFCs to be encouraged and groundwork for digital banks should be laid
3 'Over the top' entities posing as banks in promotional materials should be prohibited from doing so	4 Banks that partner OTT entities must set operational codes for them
	
5 RBI sandbox should have a category for running pilot projects on digital lenders	

Q 49.D

- **A proportional tax is an income tax system that levies the same percentage tax to everyone regardless of income.** A proportional tax is the same for low, middle, and high-income taxpayers. Proportional taxes are sometimes referred to as flat taxes. Proportional taxation is intended to create greater equality between marginal tax rates and average tax rates paid. **Hence statement 1 is not correct.**
- Proportional taxes reduce the autonomous expenditure multiplier because taxes reduce the marginal propensity to consume out of income. **The proportional income tax acts as an automatic stabilizer – a shock absorber because it makes disposable income, and thus consumer spending, less sensitive to fluctuations in GDP as compared to progressive taxation.** **Hence statement 2 is not correct.**
 - **Progressive tax** is the one where the tax rate increases with the taxpayer's income. An example for progressive taxation is: 10% tax rate for income of Rs 2 lakh, 20% for Rs 5 lakh and 30% for Rs 10 lakh. Here, the tax liability or the absolute amount as well as the proportion of income to be paid as tax increases with the income of the taxpayer.

Q 50.A

- In a socialist society, **the government decides what goods are to be produced in accordance with the needs of society.** It is assumed that the government knows what is good for the people of the country and so the desires of individual consumers are not given much importance. **Hence, statement 1 is correct.**
- The government decides how goods are to be produced and how they should be distributed. In principle, distribution under socialism is supposed to be based on what people need and not on what they can afford to purchase. Unlike under capitalism, for example, a socialist nation provides free health care to all its citizens.
- **Strictly, a socialist society has no private property since everything is owned by the state.** In Cuba and China, for example, most of the economic activities are governed by socialistic principles.
- In a capitalist society, the goods produced are distributed among people not on the basis of what people need but on the basis of Purchasing Power—the ability to buy goods and services. That is, one has to have the money in the pocket to buy it. **Hence, statement 2 is not correct.**

Q 51.D

- Recently, Industry Transition Dialogue was hosted by India and Sweden in Stockholm. The event was organised as a part of India and Sweden's joint initiative — Leadership for Industry Transition (LeadIT).
- Leadership for Industry Transition (LeadIT) was launched by the **governments of Sweden and India** at the UN Climate Action Summit in September 2019 and is supported by the World Economic Forum. **Hence, statement 1 is not correct.**
- Its Secretariat is hosted by **Stockholm Environment Institute**. **Hence, statement 2 is not correct.**
- LeadIT is a **voluntary initiative for promoting low-carbon transition** especially in the hard-to-abate sectors like Iron & Steel, Aluminium, Cement and Concrete, petrochemicals, fertilisers, bricks, heavy-duty transport, etc. through active participation of private sector companies.

Q 52.B

- Reforms have not been able to benefit agriculture, where the growth rate has been decelerating. **Since 1991, public investment in agriculture sector especially in infrastructure, which includes irrigation, power, roads, market linkages and research and extension (which played a crucial role in the Green Revolution), has fallen. Hence, statement 1 is not correct.**

TABLE 1 Gross Capital Formation in Agriculture
(At 1980-81 prices)

Year	Total	Public	Private	Percent Share	
				Public	Private
1970-71	2758	789	1969	28.6	71.4
1980-81	4636	1796	2840	38.7	61.3
1990-91	4594	1154	3440	25.1	74.9
1991-92	4729	1002	3727	21.2	78.8
1992-93	5372	1061	4311	19.7 	80.3
1993-94	5038	1153	3885	22.9	77.1
1994-95	5678	1329	4349	23.4	76.6

Source : Economic Survey of India (1996-97).

- Further, the partial removal of fertilizer subsidy has led to an increase in the cost of production, which has severely affected the small and marginal farmers.
- This sector has been experiencing a number of policy changes such as a reduction in import duties on agricultural products, low minimum support prices and lifting of quantitative restrictions on the imports of agricultural products. These have adversely affected Indian farmers as they now have to face increased international competition.
- Moreover, **because of export-oriented policy strategies in agriculture, there has been a shift from production for the domestic market towards production for the export market focusing on cash crops** in lieu of production of food grains. This puts pressure on the prices of food grains. **Hence, statement 2 is correct.**

Q 53.C

- **Monetized deficit is the monetary support the Reserve Bank of India (RBI) extends to the Centre as part of the government's borrowing program.** In other words, the term refers to the purchase of government bonds by the central bank to finance the spending needs of the government. Also known as the 'net reserve bank credit to the government', it is **that part of the government deficit which is financed solely by borrowing from the RBI. Hence statement 1 is correct.**
- Since borrowings from the RBI can be both short-term and long-term, therefore, the **monetized deficit is the sum of the net issuance of short-term treasury bills, dated securities (that is, long-term borrowing from the RBI), and rupee coins held exclusively by the RBI, net of Government's deposits with the RBI. Hence statement 2 is correct.**

Term of Financing	Types of Financing	Types of Deficits		
Long term financing (a+b)	a) Long-term financing other than RBI			Gross Fiscal deficit (a+b+c+d+e)
	b) Long-term financing from RBI	Monetized deficit (b+c)		
Short term financing (c+d+e)	c) Short-term financing from RBI		Traditional budget deficit (c+d+e)	
	d) Short-term financing from other than RBI			
	e) Draw down of cash			

Q 54.C

- The RBI controls the money supply in the economy in various ways. The tools used by the Central bank to control money supply can be quantitative or qualitative.
- Quantitative tools control the extent of the money supply by changing the cash reserve ratio (CRR), or bank rate or open market operations. Hence options 1, 2, and 4 are correct.
- If the Central bank changes the reserve ratio, this would lead to changes in lending by the banks which, in turn, would impact the deposits and hence, the money supply.
- Qualitative tools include persuasion by the Central bank in order to make commercial banks discourage or encourage lending which is done through moral suasion, margin requirement, etc. Moral suasion is a tool of qualitative control. Hence option 3 is not correct.

Q 55.A

- Different countries have different methods of determining their currency's exchange rate. It can be determined through Flexible Exchange Rate, Fixed Exchange Rate or Managed Floating Exchange Rate.
- Flexible Exchange Rate is determined by the market forces of demand and supply. It is also known as the Floating Exchange Rate. This is in contrast to a fixed exchange rate, in which the government entirely or predominantly determines the rate. Hence, statement 1 is correct.
- In a completely flexible system, the Central banks do not intervene in the foreign exchange market. India follows a managed floating exchange rate system. RBI acts as a controller in the exchange rate market. Hence, statement 2 is not correct.

Q 56.C

- The TRIPS Agreement, which came into effect on 1 January 1995, is to date the most comprehensive multilateral agreement on intellectual property.
- All the WTO agreements (except for a couple of "plurilateral" agreements) apply to all WTO members. The TRIPS Agreement is part of that package. Therefore it applies to all WTO members. Hence, statement 1 is correct.
- The TRIPS Agreement is often described as one of the three "pillars" of the WTO, the other two being trade in goods (the traditional domain of the GATT) and trade in services.
- The TRIPS Agreement says WTO member countries must comply with the substantive obligations of the main conventions of WIPO — the Paris Convention on industrial property, and the Berne Convention on copyright (in their most recent versions).
- The TRIPS Agreement requires members to comply with certain minimum standards for the protection of intellectual property rights covered in it.
- Article 31 of the Agreement allows compulsory licensing and government use of a patent without the authorization of its owner. But this can only be done under a number of conditions aimed at protecting the legitimate interests of the right holder. Hence, statement 2 is correct.

- Article 27.3(b) allows members to exclude some types of plant and animal inventions from patenting in their countries. **More specifically, it allows them to exclude from patentability “plants and animals other than micro-organisms, and essentially biological processes for the production of plants or animals other than non-biological and microbiological processes”.**

Q 57.A

- The balance of payments account, which a statement of all transactions made between a country and the outside world, consists of two accounts — current and capital account. While the current account deals mainly with import and export of goods and services, the capital account is made up of cross-border movement of capital by way of investments and loans.
- Current account convertibility refers to the freedom to convert your rupees into other internationally accepted currencies and vice versa without any restrictions whenever you make payments. Similarly, capital account convertibility means the freedom to conduct investment transactions without any constraints. **Hence, Statement 1 is correct.**
- Since 1994, **Indian rupee has been made fully convertible in current account transactions.** But, India has come a long way in liberating the capital account transactions in the last three decades and **currently has partial capital account convertibility. Hence, statement 2 is not correct.**

Q 58.D

- **The Reserve Bank of India was established on April 1, 1935 in accordance with the provisions of the Reserve Bank of India Act, 1934.**
- The Central Office of the Reserve Bank was initially established in Kolkata but was permanently moved to Mumbai in 1937. Though originally privately owned, since its nationalization in 1949, the Reserve Bank is fully owned by the Government of India.
- **Important functions of Central Bank in an economy:**
- **Monetary Authority:**
 - Formulates, implements and monitors the monetary policy.
 - **Objective: maintaining price stability while keeping in mind the objective of growth. Hence option 2 is correct.**
- **Regulator and supervisor of the financial system:**
 - Prescribes broad parameters of banking operations within which the country's banking and financial system functions.
 - Objective: maintain public confidence in the system, protect depositors' interest and provide cost-effective banking services to the public.
- **Manager of Foreign Exchange**
 - Manages the Foreign Exchange Management Act, 1999. **Hence option 3 is correct.**
 - Objective: to facilitate external trade and payment and promote orderly development and maintenance of foreign exchange market in India.
- **Issuer of currency:**
 - Issues, exchanges and destroys currency notes as well as puts into circulation coins minted by Government of India. **Hence option 1 is correct.**
 - Objective: to give the public adequate quantity of supplies of currency notes and coins and in good quality.
- **Developmental role:**
 - Performs a wide range of promotional functions to support national objectives.
- **Regulator and Supervisor of Payment and Settlement Systems:**
 - Introduces and upgrades safe and efficient modes of payment systems in the country to meet the requirements of the public at large.
 - Objective: maintain public confidence in payment and settlement system
- **Related Functions:**
 - Banker to the Government: performs merchant banking function for the central and the state governments; also acts as their banker. **Hence option 4 is correct.**
 - Banker to banks: maintains banking accounts of all scheduled banks.

Q 59.C

- **Open Market Operations** refers to buying and selling of bonds issued by the Government in the open market. This purchase and sale is entrusted to the Central bank on behalf of the Government. **Hence statement 1 is correct.**
- RBI purchases (or sells) government securities to the general public in a bid to increase (or decrease) the stock of high-powered money (monetary base) in the economy. **Hence statement 2 is correct.**
 - Suppose RBI purchases Rs 100 worth of government securities from the bond market. It will issue a cheque of Rs 100 on itself to the seller of the bond. The seller will deposit the cheque in her bank, which, in turn, will credit the seller's account with a balance of Rs 100. The bank's deposits go up by Rs 100 which is a liability to the bank. However, its assets also go up by Rs 100 by the possession of this cheque, which is a claim on RBI. The bank will deposit this cheque to RBI which, in turn, will credit the bank's account with RBI with Rs 100. The total liability of RBI, or, by definition, the supply of high-powered money in the economy has gone up by Rs 100.
 - If RBI wishes to reduce the supply of high-powered money it undertakes an open market sale of government securities of its own holding in just the reverse fashion, thereby reducing the monetary base.
- **High-powered money:** The total liability of the monetary authority of the country, RBI, is called the monetary base or high-powered money. It consists of currency (notes and coins in circulation with the public and vault cash of commercial banks) and deposits held by the Government of India and commercial banks with RBI.

Q 60.B

- **Inflation-Indexed Bond (IIB)** is a bond issued by a Sovereign, which provides the investor with a constant return irrespective of the level of inflation in the economy. The main objective of Inflation-Indexed Bonds is to provide a hedge and to safeguard the investor against macroeconomic risks in an economy.
- For understanding the concept of IIB, it has to be compared with the instrument of fixed deposits with the bank. While a fixed deposit offers a fixed rate of interest for the investment for a given number of years, it does not protect the investor from the erosion of the real value of the deposit due to inflation. IIB on the other hand gives a constant minimum real return irrespective of the inflation level in the economy. Capital increases with inflation, so actual interest is better than originally promised. In the case of deflation, interest payments decrease with negative inflation. However, capital does not decline below the face value, ie. The initial investment, in case of deflation.
- A predecessor of Inflation Indexed Bonds (IIBs) was Capital Indexed Bonds (CIBs) issued in 1997. However, the CIBs issued in 1997 provided inflation protection only to principal and not to interest payment. **IIBs provide inflation protection to both principal and interest payments. Hence statement 1 is not correct.**
- There are no special tax concessions for these bonds. **IIBs are treated as government securities (G-Sec) and therefore, would be eligible for short-sale and repo transactions and gets SLR status (i.e., they are eligible to be kept as part of Statutory Liquidity Ratio requirements of banks). Hence statement 2 is correct.**

Q 61.C

- **National Disposable Income** is an aggregate macroeconomic variable that is used in National Income accounting. It is the Net National Product at market prices plus net current transfers from rest of the world.
- **National Disposable Income = Net National Product at market price + net other current transfers from the rest of the world.** (Current transfers from the rest of the world include items such as gifts, aids etc.). **Hence statement 1 is correct.**
- **The National Disposable Income gives an idea about the maximum amount of goods and services the domestic economy has at its disposal. Hence statement 2 is correct.**
 - It is the maximum available income (earned and transfer incomes) from all sources that a nation can spend on consumption and saving without disposing of its assets to finance its expenditure.

Q 62.A

- The government provides certain goods and services which cannot be provided by the market mechanism i.e. by the exchange between individual consumers and producers known as Public Goods.
- The benefits of public goods are available to all and are not only restricted to one particular consumer. One person's consumption of a good does not reduce the amount available for consumption for others and so several people can enjoy the benefits, that is, the consumption of many people is not 'rivalrous'. **Hence statement 1 is correct.**
- Examples of public goods are education, infrastructure, lighthouses, flood control systems, knowledge, fresh air, national security, official statistics, etc. **The public good is different from the common good in that common good, though non-excludable, tends to be semi-rivalrous in nature. Examples of common goods would be timber, coal, etc. Public goods are useful for the population as a whole.**
- There is, however, a difference between public provision goods and public production goods. **Public provision means those goods and services that are financed through the budget and can be used without any direct payment.** Public goods may be produced by the government or the private sector. **When goods are produced directly by the government it is called public production goods. Hence statement 2 is not correct.**

Q 63.B

- Both the forms of capital formation (Capital and Human) are outcomes of conscious investment decisions. Decision regarding investment in physical capital is taken on the basis of one's knowledge in this regard. Human capital formation is partly a social process and partly a conscious decision of the possessor of the human capital.
- The owner of physical capital, say a bus, need not be present in the place where it is used; whereas, a bus driver, who possesses the knowledge and ability to drive the bus, should be present when the bus is used for transportation of people and materials.
- Physical capital is tangible and can be easily sold in the market like any other commodity. **Human capital is intangible; it is endogenously built in the body and mind of its owner. Human capital is not sold in the market;** only the services of the human capital are sold and, hence, there arises the necessity of the owner of the human capital to be present in the place of production. Physical capital is separable from its owner, whereas, human capital is inseparable from its owner.
- The two forms of capital differ in terms of mobility across space. **Physical capital is completely mobile between countries** except for some artificial trade restrictions. **Human capital is not perfectly mobile between countries as movement is restricted by nationality and culture.** Therefore, the physical capital formation can be built even through imports, whereas human capital formation is to be done through conscious policy formulations in consonance with the nature of the society and economy and expenditure by the state and the individuals.
- **Both forms of capital depreciate with time but the nature of depreciation differs between the two.** Continuous use of machine leads to depreciation and change of technology makes a machine obsolete. In the case of human capital, depreciation takes place with ageing but can be reduced, to a large extent, through continuous investment in education, health, etc. **Hence, option (b) is not correct.**
- Nature of benefits flowing from human capital are different from that of physical capital. **Human capital benefits not only the owner but also the society in general.** This is called external benefit.

Q 64.C

- The **Sagarmala Programme** was approved by the Union Cabinet in 2015 which aims at **holistic port infrastructure development** along the 7,516-km long coastline through modernisation, mechanisation and computerisation.
- The initiative aims at integrating three things - **the development of ports, industrial clusters and hinterland and efficient evacuation systems through road, rail, inland and coastal waterways.** Therefore, components of Sagarmala include:
 - Modernisation of port infrastructure- transforming the existing ports to world class ports and development of new ports.
 - Efficient evacuation system by improving hinterland linkages through rail, road and water.

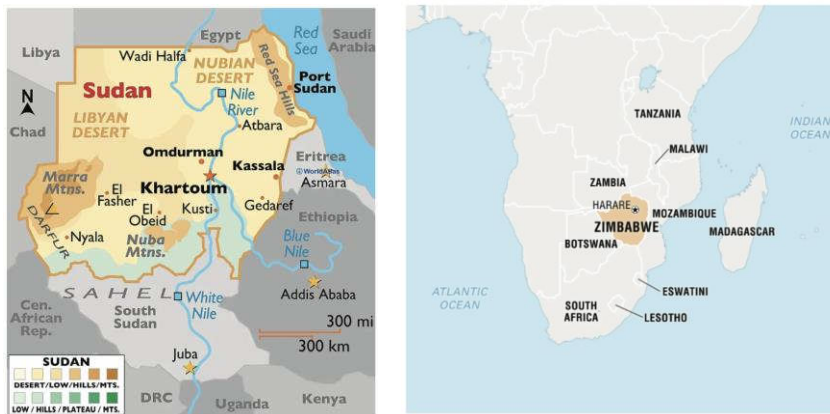
- Encouraging coastal economic development by promoting port based SEZs and ancillary industries.
- **Deep Ocean Survey and Exploration** is a component of **Deep Ocean Mission (DOM)** launched by **Ministry of Earth Sciences**.
- **Hence, option (c) is the correct answer.**

Q 65.D

- **Türkiye, erstwhile Turkey (Capital: Ankara):**
 - **UN has changed the name of Turkey to Türkiye after the Turkish Government requested it to do so.**
 - It is a large peninsula that bridges the continents of Europe Asia Dardanelles, the Sea of Marmara, and the Bosphorus Strait.
 - Political Boundaries: Bulgaria and Greece in the Northwest; Georgia, Armenia, Azerbaijan and Iran to the east; and Syria and Iraq to the South.
 - Black Sea connects it with Russia, Ukraine and Romania.
 - **Geographic Features:**
 - Inland Water Bodies: Lake Van (Biggest Lake) with Euphrates, Kizilirmak and Sakarya as main Rivers.
 - Highest Peak: Mt Arara



- **Sudan (Capital: Khartoum):**
 - **As per UN, the tribal clashes in Sudan's war-ravaged Darfur region killed around 100 people.**
 - **The fighting grew out of a land dispute between Arab and African tribes in the town of Kulbus in West Darfur province. Local Arab militias then attacked multiple villages in the area, forcing thousands of people to flee.**
 - **The Darfur conflict began in 2003** when ethnic Africans rebelled, accusing the Arab-dominated government in the capital of Khartoum of discrimination. Al-Bashir's government was accused of retaliating by arming local nomadic Arab tribes and unleashing militias known as the janjaweed on civilians there — a charge it denies.
 - Sudan is a Northeast African Country sharing borders with 7 countries (Egypt, Libya, Chad, Central African Republic, South Sudan, Ethiopia and Eritrea).
 - South Sudan was separated from it in 2011.
 - Dominated by massive Desert Plains (e.g. Nubian Desert) and Darfur Plateau, the Red Sea gives it maritime access.
 - Geographical Features:
 - Highest Peak: Deriba Caldera (Jabel marra Mountain).
 - Main River: Nile River with Khartoum as the merging point of its tributaries White Nile and Blue Nile.



- **Zimbabwe (Capital: Harare):**
 - **Inflation soars more than 130% in Zimbabwe.**
 - Political boundaries: Landlocked country in south-central Africa, Bordered by Botswana on west, Zambia on north, Mozambique on east, and South Africa on south. Geographical features
 - Lake Kariba is world's largest reservoir by volume Longest river: Zambezi
 - Highest Point: Mount Inyangani.
- **Cambodia (Capital: Phnom Penh):**
 - **China is set to build its second foreign outpost (First at Dibouti) at Ream Naval Base of Cambodia on the Gulf of Thailand.**
 - Cambodia is a Southeast Asian country surrounded by Thailand. Laos and Vietnam.
 - The Gulf of Thailand gives it maritime access.
 - Angkor Wat, an ancient temple complex built by Suryavarman I, located in northern Cambodia is the world's largest religious structure.
 - Geographical Features:
 - Largest Lake: Tonlé Sap lake, largest freshwater lake of Southeast Asia, belonging to the Mekong River System.
 - Highest Peak: Phnom Aural in the Cardamom mountains.



- Hence option (d) is the correct answer.

Q 66.C

- The Gold Standard: From around 1870 to the outbreak of the First World War in 1914, the prevailing system was the gold standard which was the epitome of the fixed exchange rate system. **All currencies were defined in terms of gold;** indeed some were actually made of gold. Each participant country

committed to guaranteeing the free convertibility of its currency into gold at a fixed price. **Hence, statement 1 is correct.**

- During 1914-45, there was no maintained universal system but this period saw both a brief return to the gold standard and a period of flexible exchange rates.
- The Bretton Woods Conference held in 1944 set up the International Monetary Fund (IMF) and the World Bank and reestablished a system of fixed exchange rates. A two-tier system of convertibility was established at the center of which was the dollar.
- Many countries currently have fixed exchange rates. The international system is now characterized by multiple regimes. Most exchange rates change slightly on a day-to-day basis, and market forces generally determine the basic trends. Even those advocating greater fixity in exchange rates generally propose certain ranges within which governments should keep rates, rather than literally fix them. **Also, there has been a virtual elimination of the role of gold.**
- India's exchange rate policy has evolved in line with international and domestic developments. Post-independence, in view of the prevailing Bretton Woods system, **the Indian rupee was pegged to the pound sterling due to its historic links with Britain. Hence, statement 2 is correct.**
- With the breakdown of the Bretton Woods system, and also the declining share of the UK in India's trade, the rupee was delinked from the pound sterling in September 1975. During the period between 1975 to 1992, the exchange rate of the rupee was officially determined by the Reserve Bank within a nominal band of plus or minus 5 percent of the weighted basket of currencies of India's major trading partners

Q 67.D

- **Small Finance Banks (SFB)** registered as a **public limited company under the Companies Act, 2013** intend to provide financial services to the unserved and unbanked region of the country. **Hence statement 1 is correct.**
- They primarily undertake basic banking activities of **acceptance of deposits and lending to un-served and underserved sections** including small business units, small and marginal farmers, micro and small industries, and unorganized sector entities, but **without any restriction in the area of operations, unlike Regional Rural Banks or Local Area Banks. Hence statement 2 is correct.**
- **Eligibility for Setting up SFBs:**
 - Resident individuals/professionals with 10 years of experience in banking and finance.
 - The companies and societies are owned and controlled by residents.
 - Existing Non-Banking Finance Companies (NBFCs), Micro Finance Institutions (MFIs), Local Area Banks (LABs), and payment banks that are owned and controlled by residents.
- SFBs are full-fledged banks in contrast to payments banks created around the same time. Hence, they are subject to all prudential norms and regulations of RBI as applicable to existing commercial banks like maintenance of Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR). **Hence statement 3 is correct.**

Q 68.D

- **Recent Context: The Securities and Exchange Board of India (SEBI), has reportedly told the Parliamentary Standing Committee on Finance that regulation of crypto assets would be difficult given the nature of technology that sustains them.**
- Crypto assets is usually used as an umbrella term to encompass cryptocurrencies (e.g., Bitcoin, Ether) as also non-currency tokens such as utility tokens (which provide a certain utility within an ecosystem) and non-fungible tokens (which help establish ownership of unique items), among others. The underlying technology for crypto assets is the same - distributed ledgers that aren't controlled by any one entity.
- The subscribers or customers of crypto assets form another important part of the market. **SEBI has suggested that the Consumer Protection Act of 2019 be invoked to make sure their interests are safeguarded.** As part of customer protection, SEBI had also proposed various measures to the Advertising Standards Council of India. **Hence statement 1 is not correct.**
- SEBI has also sought clarity on whether cryptocurrencies can be legally classified as securities. **Right now, they aren't. SEBI has also said that crypto assets are not part of the definition of what constitutes as securities under the Securities Contracts (Regulation) Act of 1956, also known as**

SCRA. It is to be noted that what constitutes as securities under the SCRA is what is used under the SEBI Act. **Hence statement 2 is not correct.**

- **It also suggested possible regulation of crypto trading platforms by the RBI under the FEMA as crypto assets are available for trading in foreign jurisdiction as well and consumers abroad can remit funds to India using such currency. Hence statement 3 is not correct.**
- While the government has introduced a taxation scheme on virtual digital assets, there is still no clarity on their regulation. The government has also under-scored that the taxation scheme does not make cryptos legal. In December 2021, it was widely reported that the government was looking to get SEBI to regulate crypto assets by bringing in legislation around that time. Though such a legislation - the Cryptocurrency and Regulation of Official Digital Currency Bill, 2021 - did not materialise at that time, the talk that the government wants to treat cryptocurrencies as digital assets, rather than as currencies, has not ebbed.

Q 69.B

- **Recently, India has questioned its bottom ranking among 180 nations on the Environmental Performance Index.**
- The **Environmental Performance Index (EPI)** is an international ranking system of countries based on their environmental health. It is a biennial index, first started in 2002 as the Environment Sustainability Index by the **World Economic Forum in collaboration with the Yale Center for Environmental Law and Policy and Columbia University Center for International Earth Information Network.**
- EPI 2022 uses 40 performance indicators to assess and rank 180 countries. The 40 indicators are under the broad categories of climate change performance, environmental health, and ecosystem vitality. The 2022 EPI has included new parameters to its earlier assessments, with projections of progress towards net-zero emissions in 2050, as well as new air quality indicators, and sustainable pesticide use.
- **Hence, option (b) is the correct answer.**

Q 70.D

- Money aggregates are a broad category that measures the money supply in an economy. The total stock of money in circulation among the public at a particular point of time is called the money supply.
- The Reserve Bank of India, RBI publishes figures for four alternative measures of money supply viz.
 - $M1 = CU$ (Currency with Public) + DD (Demand deposits with the banking system) + Other deposits with RBI
 - $M2 = M1 +$ Saving deposits with post office saving banks
 - $M3 = M1 +$ Net time deposits of commercial banks
 - $M4 = M3 +$ Total deposits with post office savings organizations (excluding National Savings Certificates)
- **M1 and M2 are known as narrow money, M3 and M4 are known as broad money. Hence, statement 1 is not correct.**
- **M1 is the most liquid and easiest for transactions whereas M4 is least liquid of all. Hence statement 2 is not correct.**
- M3 is the most commonly used measure of the money supply. It is also known as aggregate monetary resources.

Q 71.B

- Core Inflation is also known as underlying inflation, is a measure of inflation **which excludes items that face volatile price movement, notably food and energy.** In other words, Core Inflation is nothing but Headline Inflation minus inflation that is contributed by food and energy commodities. **Hence statement 1 is not correct.**
 - Unlike core inflation, **headline inflation takes into account changes in the price of food and energy.** Since food and energy prices are highly volatile, headline inflation may not give an accurate picture of how an economy is behaving.
- Prices of other commodities do not fluctuate as regularly as food and fuel – as such increase in their prices could be taken relatively to be much more of a permanent nature. The Reserve Bank of India (RBI) and Central Banks around the World always keep an eye on the core inflation. **Whenever core inflation rises,**

Central Banks increase their key policy rates to suck excess liquidity from the market and vice versa. It is, therefore, a preferred tool for framing long-term policy. **Hence statement 2 is correct.**

Q 72.B

- The Agriculture Ministry recently unveiled India's first Covid-19 vaccine for animals. Developed by the Hisar-based National Research Centre on Equines, the vaccine, called Ancovax, **can protect animals against the Delta and Omicron variants of SARS-CoV-2. Hence statement 1 is correct.**
- Ancovax can be **used in dogs, lions, leopards, mice, and rabbits.** The vaccine can protect animals in the zoo. It can also prevent transmission from companion animals to the humans. **Hence statement 2 is not correct.**
 - The aim of the vaccine is to protect endangered animals such as lions and tigers. India reported at least nine Covid infections in Asiatic lions in Chennai zoo last year, with one of the lioness likely to have died of it.
 - The animals develop similar symptoms to humans – cough, cold, fever, and lung lesions.
- **It is an inactivated vaccine developed using an infectious part of the Delta variant.** In addition, it uses Alhydrogel as an adjuvant to boost the immune response. **Hence statement 3 is correct.**

Q 73.D

- Free Trade Agreements (FTAs) are arrangements between two or more countries or trading blocs that **primarily agree to reduce or eliminate customs tariffs and non-tariff barriers on substantial trade between them.**
 - In FTAs, tariffs on items covering substantial bilateral trade are eliminated between the partner countries; however, each maintains an individual tariff structure for non-members.
- The key difference between an FTA and a PTA is that **while in a preferential trade arrangement (PTA) there is a positive list of products on which duty is to be reduced; in an FTA there is a negative list on which duty is not reduced or eliminated.** Thus, compared to a PTA, FTAs are generally more ambitious in coverage of tariff lines (products) on which duty is to be reduced. **Hence, option (d) is the correct answer.**

Q 74.B

- Under the Constitution, of India, **agricultural marketing is a state (provincial) subject.** While intra-state trades fall under the jurisdiction of state governments, inter-state trading comes under Central or Federal Government
- **Agricultural Produce Market Committee (APMC) is a statutory market committee constituted by a State Government** in respect of trade in certain notified agricultural or horticultural or livestock products, under the Agricultural Produce Market Committee Act issued by that state government. **Hence both statements 1 and 2 are correct.**
- Once a particular area is declared as a market area and falls under the jurisdiction of a Market Committee, no person or agency is allowed to freely carry on wholesale marketing activities. **APMC Acts provide that the first sale in the notified agricultural commodities produced in the region** such as cereals, pulses, edible oilseed, etc. can be conducted only under the aegis of the APMC, through its licensed commission agents, and subject to payment of various taxes and fee. **APMCs charge a market fee from buyers, and a licensing fee from the commissioning agents (they are not prohibited) who mediate between buyers and farmers. Hence, statement 3 is not correct.**
- Exporters, processors, and retail chain operators **cannot procure directly** from the farmers as the product is required to be **channelized through regulated markets and licensed traders.**

Q 75.B

- **Ricardian equivalence is an economic theory that says that financing government spending out of current taxes or future taxes (and current deficits) will have equivalent effects on the overall economy.**

- This means that attempts to stimulate an economy by increasing debt-financed government spending will not be effective because investors and consumers understand that the debt will eventually have to be paid for in the form of future taxes. The **theory argues that people will save based on their expectation of increased future taxes to be levied in order to pay off the debt and that this will offset the increase in aggregate demand from the increased government spending.**
- It is called ‘**equivalence**’ because **it argues that taxation and borrowing are equivalent means of financing expenditure.** When the government increases spending by borrowing today, which will be repaid by taxes in the future, it will have the same impact on the economy as an increase in government expenditure that is financed by a tax increase today. **Hence option (b) is the correct answer.**

Q 76.C

- **Gross External Debt is defined as the outstanding amount of those actual current liabilities, that require payment(s) of principal and/or interest by the debtor, in the future as per the terms laid out in the contract between the debtor and the creditor and that are owed to non-residents by the residents of the economy.**
 - The definition of gross external debt includes debt incurred by both the Government and the private sector(s) of the economy but does not take into account contingent liabilities that are liabilities arising in the event of specific occurrences covered by the debt contract viz. default by a debtor on the principal and/or interest of a credit.
- Long Term External Debt is defined as debt with an ‘Original Maturity’ of more than one year while **Short Term External Debt is defined as debt repayments on-demand or with an ‘Original Maturity’ of one year or less.**
- **Short Term External Debt is classified into (a) Trade Credits (of up to 6 months and above 6 months and up to 1 year) (b) Foreign Institutional Investors’ (FII) Investment in Government Treasury Bills and Corporate Securities (c) Investment in Treasury-bills by foreign Central Banks and International Institutions etc. and (iv) External Debt liabilities of the Central Bank and Commercial Banks. Hence options 1 and 2 are correct.**
- **Long-Term External debt is further classified into (a) Multilateral Debt (b) Bilateral Debt (c) ‘IMF’ signifying SDR allocations to India by the IMF (d) Export Credit (e) (External) Commercial Borrowings (f) NRI Deposits and (g) Rupee Debt. Hence options 3 and 4 are not correct.**

Q 77.D

- **Recently, President Ram Nath Kovind inaugurated the Sant Kabir Academy and Research Centre Swadesh Darshan Yojana and paid tribute to the Bhakti saint, Kabir at Maghar (Uttar Pradesh).**
- The Bhakti movement, which began in the 7th century in South India, had begun to spread across north India in the 14th and the 15th centuries. One school within the Bhakti movement was the **Nirguni tradition** and Sant Kabir was a prominent member of it. In this tradition, God was understood to be a universal and formless being. **Hence, statement 1 is correct.**
- Kabir’s compositions can be classified into three literary forms – dohas (short two liners), ramanas (rhymed 4 liners), sung compositions of varying length, known as **padas (verses) and sabdas (words).** **Hence, statement 3 is correct.**
- Kabir is in modern times portrayed as a figure that synthesized Islam and Hinduism. He did not only target the rituals and practices of both Hinduism and Islam, but also **dismissed the sacred authority of their religious books, the Vedas and the Quran.** Kabir did use the name Rama in his poems, but he clarified that he was not referring to the avatar of Vishnu, but a formless and general Hindu name for the divine. Author Manu S Pillai writes that he even combined Allah and Ram. **Hence, statement 2 is correct.**

Q 78.B

- **Treasury bills are short-term money market (not capital market) debt instruments issued by the Central government** with a maturity of one year or less. At present T-Bills are issued in three tenors, namely, 91 days, 182 days, and 364 days.
- Treasury bills are zero-coupon securities and pay no interest. They are issued at a discount and redeemed at the face value at maturity.
- In India, the Central Government issues both, treasury bills and bonds or dated securities while the State Governments issue only bonds or dated securities, which are called the State Development Loans

(SDLs). **Therefore, Treasury bills are issued by the Government of India and there are no treasury bills issued by the State Governments. Hence, option (b) is correct.**

- G-Secs carry practically no risk of default and, hence, are called risk-free gilt-edged instruments. **T-bills are debt instruments and they act as a liability to the Indian government.**
- **RBI allowed foreign investors to invest in T-bills to bring foreign funds into the market.** Currently, short-term investments by a foreign portfolio investors (FPI) should not exceed 20 percent of the total investment of that FPI in either central government securities (including treasury bills) or state development loans or corporate bonds. Recently, The Reserve Bank of India raised the investment limit for FPIs in government and corporate bonds. The short-term investment limit has now been increased from 20 percent to 30 percent.

Q 79.D

- **Stockholm+50 is an international meeting convened by the United Nations General Assembly (UNGA) in Stockholm, Sweden. Hence statement 1 is correct.**
- **Theme- Stockholm+50: A healthy planet for prosperity of all-our responsibility, our opportunity. Hence statement 3 is correct.**
- **In 1968, Sweden first proposed the idea of the Stockholm conference. Hence statement 2 is correct.**
- It commemorates 50 years since the 1972 UN Conference on Human Environment, which made the environment a pressing global issue for the first time.
- Key principles are assistance to developing countries, safeguarding wildlife and natural resources, control pollution, assert human rights etc.
- **Significance of Stockholm Conference:**
 - It pushed the boundaries for a UN system that relied on the concept of state sovereignty and emphasised the importance of joint action for the common good.
 - The declaration explicitly acknowledged states' sovereign right to exploit their own resources pursuant to their own environmental policies.
 - The Stockholm Conference also put global inequality in the spotlight.
 - The increasing awareness of environmental challenges over the past 50 years has led to the spread of national environmental agencies and the growth of global environmental law.

Q 80.C

- **Infrastructure Investment Trusts (InvITs) are mutual fund like institutions that enable investments into the infrastructure sector by pooling small sums of money from multitude of individual investors** for directly investing in infrastructure so as to return a portion of the income (after deducting expenditures) to unit holders of InvITs, who pooled in the money. **Hence, statement 1 is correct.**
- InvITs can invest in infrastructure projects, either directly or through a special purpose vehicle (SPV). In case of Public Private Partnership (PPP) projects, such investments can only be through SPV.
- **InvITs are regulated by the securities market regulator in India- Securities and Exchange Board of India (SEBI).** SEBI notified SEBI (Infrastructure Investment Trusts) Regulations, 2014, providing for registration and regulation of InvITs in India. The objective of InvIT is to facilitate investment into the infrastructure sector in India. **Hence, statement 2 is correct.**
- InvITs are very much similar to the Real Estate investment Trusts (REITs) in structure and operations. InvITs are modified REITs designed to suit the specific circumstances in India.
- InvITs, as an investment vehicle, may aid:
 - providing wider and long-term re-finance for existing infrastructure projects.
 - freeing up of current developer's capital for reinvestment into new infrastructure projects.
 - refinancing/takeout of existing high cost debt with long-term low-cost capital and help banks free up/reduce loan exposure, and thereby help them create headroom for new funding requirements.

Q 81.C

- In the process of production, all machines and equipment used to produce other goods, are subject to some wear and tear. In economic parlance, this loss of capital which every economy has to suffer is called as Depreciation. A part of capital goods produced in the economy must be devoted to replace this wear and tear. **Hence statement 1 is correct.**

- Otherwise, the productive capacity of a nation would be depleted. This replacement of the capital used is Capital Consumption Allowance.
- In this scenario, the investment expenditure of the firms is made up of two parts. One part is to buy new capital goods and machinery for production. It is called Net Investment because the production capacity of the firms can be expanded.
- Another part is spent on replacing the used-up capital goods or the maintenance of existing capital goods. The expenses incurred for this are called Depreciation Expenditure. The total investment by firms comprising these two amounts is called Gross Investment.
- **Gross Investment = Net Investment + Depreciation**
- **Or, Net Investment = Gross Investment – Depreciation.**
- The Net investment increases the production capacity and output of a nation if it is positive. This can easily be verified at the level of a single plant: the number of new machines installed in any given year must be greater than the machines that have been used up during that year.
- The governments decide and announce the rates by which assets depreciate and a list is published, which is used by the different sections of the economy to determine the real levels of depreciations in different assets.
- **It should be noted that depreciation does not take into account unexpected or sudden destructions or disuse of capital as can happen with accidents, natural calamities, etc. Hence statement 2 is correct.**

Q 82.D

- **Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 1 July 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination-based consumption tax** with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service.
- **It is levied at all stages right from manufacture up to final consumption with credit of taxes paid at previous stages available as setoff. In a nutshell, only value addition will be taxed and burden of tax is to be borne by the final consumer.**
- The phrase "destination-based tax" implies that the tax would accrue to the taxing authority which has jurisdiction over the place of consumption which is also termed as place of supply.
- At the Central level, the following taxes have been subsumed:
 - Central Excise Duty
 - Additional Excise Duty
 - Service Tax
 - Additional Customs Duty commonly known as Countervailing Duty
 - Special Additional Duty of Customs.
- At the State level, the following taxes have been subsumed:
 - **State VAT/ Sales Tax**
 - **Luxury Tax**
 - **Octroi**
 - Entry Tax i.e, taxes on the entry of goods into a local area for consumption, use or sale therein. (other than those in lieu of octroi)
 - Purchase Tax
 - Entertainment Tax which are not levied by the local bodies; i.e. panchayats, municipalities and District councils of autonomous districts can impose taxes on entertainment and amusements.
 - Taxes on general advertisements
 - Taxes on lotteries, betting and gambling. **Hence options 1, 2 and 4 are correct.**
- **GST does not subsume stamp duties. Hence option 3 is not correct.**

Q 83.A

- **Recently, four Holy Relics of Lord Buddha are being taken to Mongolia for an 11-day exposition to coincide with Mongolian Buddha Purnima celebrations.**
- **Stupas erected over the bodily relics of Buddha (Saririka stupas)** are the earliest surviving Buddhist shrines. It is said that Ashoka (272–232 BC), being an ardent follower of Buddhism, opened up seven of

these eight stupas, and collected major portion of the relics for enshrinement within 84,000 stupas built by him in an effort to popularise Buddhism as well as the cult of the stupas. **Hence, statement 1 is correct.**

- At the age of 80, according to Buddhist beliefs, Buddha attained salvation in Uttar Pradesh's Kushinagar district. The Mallas of Kushinagar cremated his body with ceremonies befitting a universal king. His relics from the funeral pyre were collected and **divided into eight shares to be distributed among the Ajathasatrus of Magadha, the Licchavis of Vaishali, the Sakyas of Kapilavastu, Mallas of Kushinagar, Bullies of Allakappa, the Mallas of Pava, the Koliyas of Ramagrama and a Brahmana of Vethadipa.** The purpose was erecting stupas over the sacred relics. Two more stupas came up — one over the urn in which the relics had been collected and the other over the embers. **Hence, statement 2 is not correct.**

Q 84.C

- **Pradhan Mantri Suraksha Bima Yojna (PMSBY)** is an insurance scheme covering **accidental death risk of Rs.2 Lakh** for a premium of just Rs. 12 per year (i.e. Rs 1/month as premium). It will cover all the savings bank account and post office account holders of the **age group 18 to 70 years for accidental disability or death. Hence, statement 1 is not correct and statement 2 is correct.**
- **Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)** is an insurance scheme for the **age group of 18-50 years** covering both natural and accidental death risk of Rs. 2 lakh for a premium of Rs. 330 per year (less than Rs. 1/day). i.e. it will cover all the savings account holders of the age group 18-50 for **death due to any cause.**
- Under PMSBY, the **risk coverage will be Rs. 2 lakh for accidental death and full disability and Rs. 1 lakh for partial disability.**
- Public sector general insurance companies or other general insurance companies that are willing to offer insurance coverage to individuals on similar terms would offer and administer this scheme. The **scheme is delivered through banks including regional rural banks as well as cooperative banks. Hence, statement 3 is correct.**

Q 85.D

- A Patent is a statutory right for an invention granted for a limited period of time to the patentee by the Government, in exchange for full disclosure of his invention for excluding others, from making, using, selling, or importing the patented product or process for producing that product for those purposes without his consent.
- An invention may satisfy the condition of novelty, inventiveness, and usefulness but it may not qualify for a patent under the following situations:
 - An invention that is frivolous or which claims anything obviously contrary to well-established natural laws.
 - An invention the primary or intended use or commercial exploitation of which could be contrary to public order or morality or which causes serious prejudice to human, animal or plant life or health or to the environment.
 - The mere discovery of scientific principle or the formulation of an abstract theory or **discovery of any living thing or non-living substance occurring in nature.**
 - A novel method of agriculture or horticulture - Only products and processes qualifying for novelty are patentable).
 - Any process for medicinal, surgical, curative, prophylactic (diagnostic, therapeutic) or other treatment of human beings or any process for a similar treatment of animals to render them free of disease or to increase their economic value or that of their products.
 - **Plants and animals in whole or any part thereof** including seeds, varieties, and species and essentially biological processes for production or propagation of plants and animals **other than microorganisms (this means plants and animals cannot be patented whereas microorganisms can be patented). Hence, option (d) is the correct answer.**
 - **Inventions relating to atomic energy.**
 - An invention which, in effect, is traditional knowledge or which is an aggregation or duplication of known properties of a traditionally known component or components.
 - A literary, dramatic, musical or artistic work or any other aesthetic creation whatsoever including cinematographic works and television products. (comes under the Copyrights Act protection and therefore is left out of the purview of the Patents Act.)
 - A mere scheme or rule or method of performing a mental act or method of playing a game.
 - A presentation of information.
 - A mathematical or business method or a computer program per se or algorithms.

Q 86.C

- The term commercial bank refers to a financial institution that accepts deposits, offers checking account services, makes various loans, and offers basic financial products like certificates of deposit (CDs) and savings accounts to individuals and small businesses.
- **Assets are things a firm owns or what a firm can claim from others. In case of a bank, apart from buildings, furniture, etc., its assets are loans given to public.**
- **Another asset that a bank has is bank reserves. Reserves are deposits which commercial banks keep with the Central bank (RBI) and Vault cash.**
 - $\text{Assets} = \text{Reserves (Vault cash + deposits with RBI)} + \text{Bank Credit (Loans + investments)}$. **Hence options 1 and 3 are correct.**
- Liabilities for any firm are its debts or what it owes to others. For a bank, the main liability is the deposits that people keep with it.
 - $\text{Liabilities} = \text{Deposits (Deposits of public with commercial banks)}$
- **Therefore, deposits of the public with commercial banks form a part of the liability of the bank. Hence options 2 is not correct.**

Q 87.B

- **Recently, the BrahMos supersonic cruise missile was first tested from a land-based launcher in Chandipur.**
- **The Integrated Guided Missile Development Programme**, conceived and led by Dr A P J Abdul Kalam includes a range of missiles including Prithvi, Agni, Trishul, Akash and Nag. **Hence, statement 1 is not correct.**
- An Inter-Governmental Agreement was signed with Russia in Moscow in 1998 by Dr Kalam, who headed the Defence Research and Development Organisation (DRDO), and N V Mikhailov, Russia's then Deputy Defence Minister. This led to the formation of BrahMos Aerospace, a joint venture between DRDO and NPO Mashinostroyeniya (NPOM), the Indian side holding 50.5% and the Russians 49.5%.
- **BrahMos is a two-stage missile with a solid propellant booster engine.** Its first stage brings the missile to supersonic speed and then gets separated. The liquid ramjet or the second stage then takes the missile closer to three times the speed of sound in the cruise phase. The missile has a very low radar signature, making it stealthy, and can achieve a variety of trajectories. **Hence, statement 2 is correct.**
- The BrahMos has three times the speed, 2.5 times flight range and **higher range compared to subsonic cruise missiles.**
- **It operates on 'Fire and Forget Principle', adopting varieties of flights on its way to the target.** Its destructive power is enhanced due to large kinetic energy on impact. Its cruising altitude could be up to 15 km and terminal altitude is as low as 10 meters. It carries a conventional warhead weighing 200 to 300 kgs. **Hence, statement 3 is correct.**

Q 88.B

- **Recent Context: According to a census conducted by Chilika Development Authority (CDA) in collaboration with The Fishing Cat Project (TFCP), the Chilika Lake, Asia's largest brackish water lagoon, has 176 fishing cats.**
- About twice the size of a typical house cat, the fishing cat is a feline with a powerful build and stocky legs. The fishing cat is an adept swimmer and enters water frequently to prey on fish as its name suggests. It is known to even dive to catch fish.
- Wetlands are the favourite habitats of the fishing cat. In India, fishing cats are mainly found in the **mangrove forests of the Sundarbans, on the foothills of the Himalayas along the Ganga and Brahmaputra river valleys and in the Western Ghats.** **Hence, statement 1 is not correct.**
- **West Bengal** declared the fishing cat to be its state animal in 2012. Authorities in Chilika also named the cat as the lake's ambassador in 2020. **Hence, statement 2 is correct.**
- **The fishing cat is listed as Endangered on the IUCN Red List**, which means that it faces a high threat of extinction in the wild. The Convention on International Trade in Endangered Species (CITES) lists the fishing cat on Appendix II part of Article IV of CITES, which governs international trade in this species. In India, the fishing cat is included in Schedule I of the Indian Wildlife (Protection) Act, 1972 and thereby protected from hunting. **Hence, statement 3 is correct.**

Q 89.B

- The **Second five-year plan's** driving force was **P.C. Mahalanobis**. He placed the greatest emphasis on strengthening the economy's industrial basis. The Plan covers the period from **April 1956 through March 1961**. The second plan was to **put India on a path toward industrialization**.
- In addition, the decision to develop the Indian economy on socialist lines led to the policy of the **state controlling the commanding heights** of the economy, as the Second five-year plan put it. This meant that the state would have complete **control of those industries that were vital for the economy**. The policies of the private sector would have to be complementary to those of the public sector, with the public sector leading the way.
- **Hence, option (b) is the correct answer.**

Q 90.B

- The Reserve Bank of India and Government of India signed the Monetary Policy Framework Agreement on 20 February 2015. **MPC was set up with the responsibility for price stability and inflation targeting. Hence statement 1 is correct.**
- The Central Government constitutes the MPC through a notification in the Official Gazette. Altogether, the MPC includes six members, - **the RBI Governor (Chairperson)**, the RBI Deputy Governor in charge of monetary policy, one official nominated by the RBI Board and the remaining three members would represent the Government of India. **Hence statement 2 is not correct.**
- These Government of India nominees are appointed by the Central Government based on the recommendations of a search cum selection committee consisting of the cabinet secretary (Chairperson), the RBI Governor, the secretary of the Department of Economic Affairs, Ministry of Finance, and three experts in the field of economics or banking as nominated by the central government.
- The three central government nominees of the MPC appointed by the search cum selection committee will hold office for a period of four years and will not be eligible for re-appointment.
- Monetary Policy Committee is defined in Section 2(iii)(cci) of the Reserve Bank of India Act, 1934 and is constituted under Sub-section (1) of Section 45ZB of the same Act (Reserve Bank of India Act, 1934). **Hence statement 3 is correct.**

Q 91.D

- **Champion Service Sectors** refers to the **12 identified sectors (identified by the Ministry of Commerce)** where the Government wants to give **focused attention to promoting their development and realizing their potential**.
- It is a **Central Sector**, umbrella scheme of the **Department of Commerce for the period 2019-20 to 2023-24**. A dedicated fund of **Rs. 5000 crores** have been proposed to be established to support initiatives for sectoral Action Plans of the Champion Sectors.
- These include Information Technology & Information Technology enabled Services (IT&ITeS), **Tourism and Hospitality** Services, Medical Value Travel, **Transport, and Logistics** Services, Accounting and Finance Services, Audio Visual Services, Legal Services, Communication Services, Construction, and Related Engineering Services, **Environmental Services**, Financial Services, and Education Services.
- **Hence, option (d) is the correct answer.**
- The biotechnology sector and Pharmaceuticals and Medical Devices sector have been **classified under Champion manufacturing sectors** and not services sectors.

Q 92.B

- **Recently, Iraq's 'pearl of the south' Lake Sawa** has run dry amid water crisis that experts say is induced by climate change, including record low rainfall and back-to-back drought.
- The construction of dams on the Euphrates in Turkey led to a reduction in river discharge in Iraq and scarcity of the groundwater, which feeds the lakes. This led to a severe environmental change by drying Sawa Lake in southern Iraq, expanding desertification and adding a new dry salty alluvial lake bed that will provide vast material of mud, silt, and salt.
- It was formed over limestone rock and studded with gypsum formations and has no inlet or outlet.

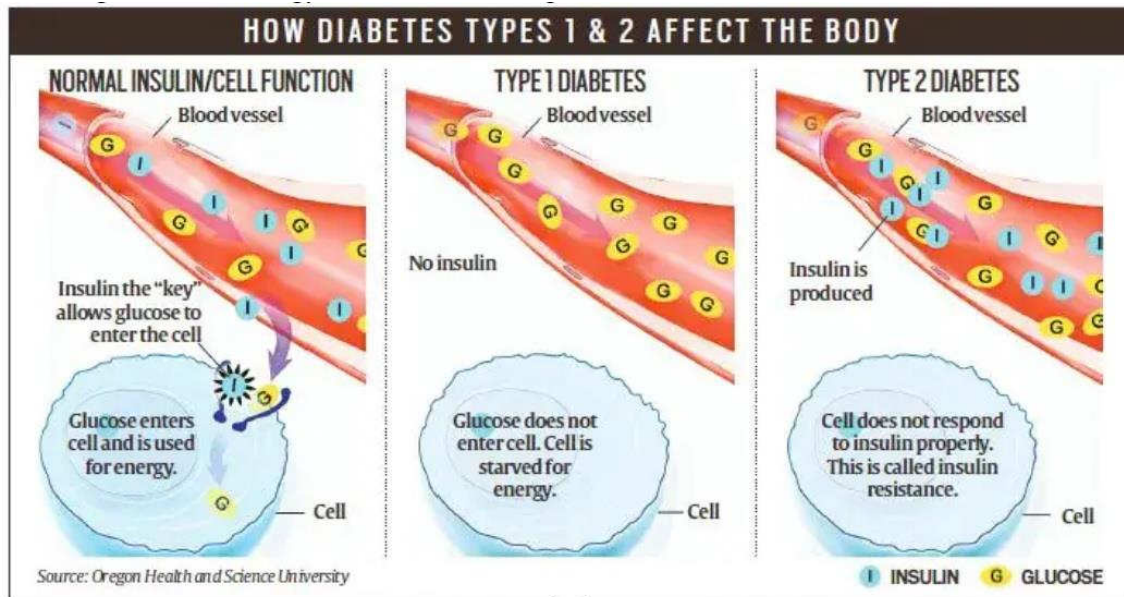
- Lake Sawa appears in some old Islamic texts. It is said the lake miraculously formed on the day the Prophet Muhammad was born in 570 A.D.
- **Hence, option (b) is the correct answer.**

Q 93.B

- Enhanced Access and Service Excellence-EASE evolved for four annual editions from Financial Year 2019 to Financial Year 2022. It has also catalysed reforms in diverse areas in Public Sector Banks.
- **EASE 5.0 ‘Common reforms agenda’ has been developed for Public Sector Banks. Hence option (b) is the correct answer.**
- **EASENext:**
 - PSB Manthan, 2022 was organised in April 2022. This program paved the way for broader program “EASENext”. The EASENext will comprise of two initiatives:
 - EASE 5.0 (common PSB reforms agenda) and
 - Bank specific strategic 3-year roadmap (on the basis of individual bank’s business priorities).
- **EASE 5.0:**
 - Under EASE 5.0, PSBs will be investing in new-age capabilities. It will also deepen the ongoing reforms for responding to evolving customer needs, technology environment and changing competition.
 - It will focus on digital customer experience, as well as integrated & inclusive banking. It will also emphasise on supporting agriculture and small businesses.
 - All PSBs will create a bank-specific 3-year strategic roadmap, which will entail strategic initiatives beyond EASE 5.0.
 - The initiatives will implemented be across diverse themes namely, business growth, risk, profitability, operation, customer service, and capability building.

Q 94.C

- **Recent context:** For the first time the Indian Council of Medical Research (ICMR) has issued guidelines specifically for type 1 diabetes, which is rarer than type 2.
- **Type 1 diabetes is a condition where the pancreas completely stops producing insulin**, the hormone responsible for controlling the level of glucose in blood by increasing or decreasing absorption to the liver, fat, and other cells of the body. This is unlike **type 2 diabetes — which accounts for over 90% of all diabetes cases in the country — where the body’s insulin production either goes down or the cells become resistant to the insulin. Hence statements 1 and 2 are not correct.**
- Type 1 diabetes is predominantly diagnosed in children and adolescents. Although the prevalence is less, it is much more severe than type 2. Unlike type 2 diabetes where the body produces some insulin and which can be managed using various pills, **if a person with type 1 diabetes stops taking their insulin, they die within weeks. Hence statement 4 is not correct.**
 - The exact cause of type 1 diabetes is unknown, but it is thought to be an auto-immune condition where the body’s immune system destroys the islets cells on the pancreas that produce insulin.
 - Genetic factors play a role in determining whether a person will get type-1 diabetes. The risk of the disease in a child is 3% when the mother has it, 5% when the father has it, and 8% when a sibling has it.
 - The presence of certain genes is also strongly associated with the disease. For example, the prevalence of genes called DR3-DQ2 and DR4-DQ8 is 30-40% in patients with type 1 diabetes as compared to 2.4% in the general population.
- The diabetic ketoacidosis is a serious condition where the body has a high concentration of ketones, a molecule produced when the body isn’t able to absorb glucose for energy and starts breaking down fats instead. **Hence statement 3 is correct.**

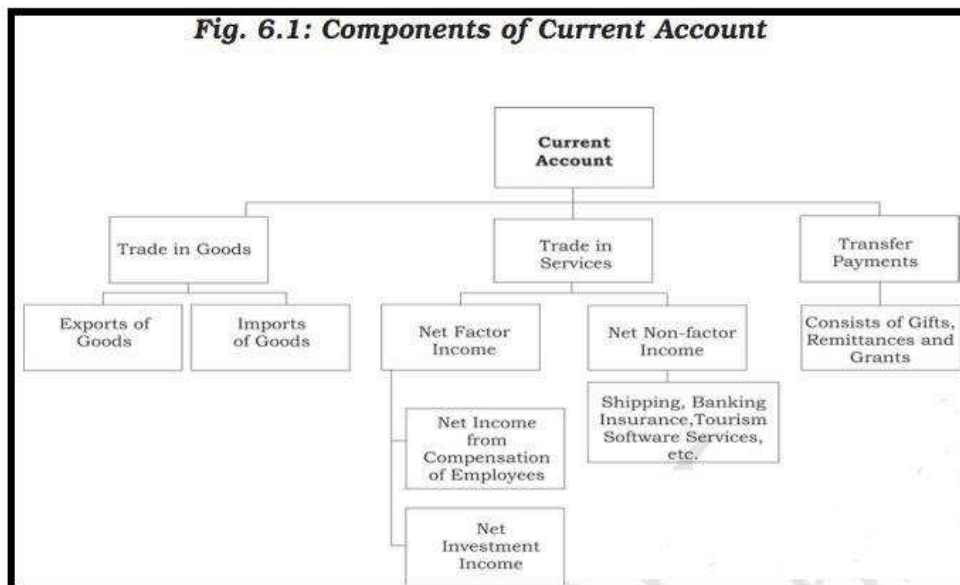


Q 95.B

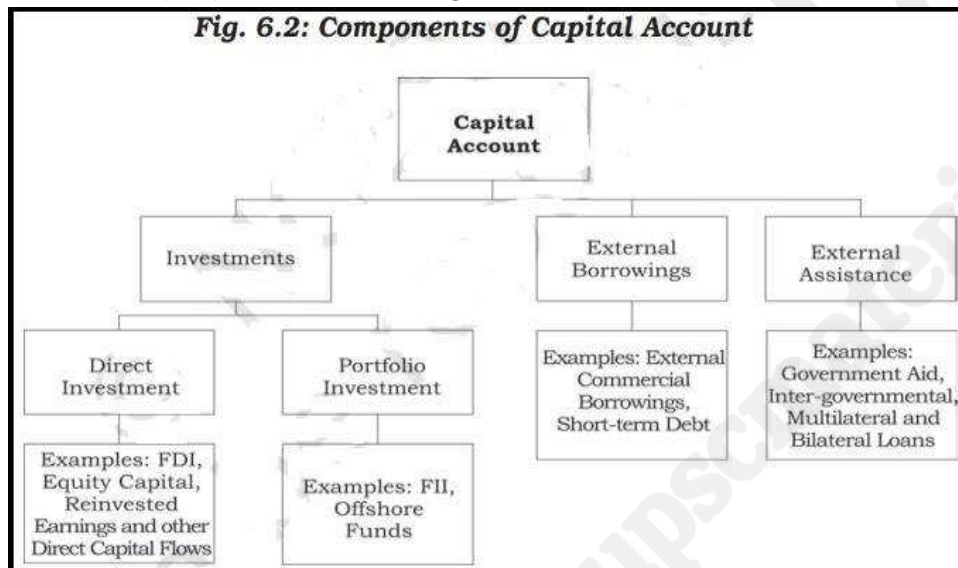
- **Personal income (PI) includes all income which is received by all the individuals in a year.**
- It also includes transfer payments such as LPG subsidies. The welfare payments are received by households, but they are not elements of national income because they are transfer payments. Similarly, in national income accounting, some income is attributed to individuals, which they do not actually receive.
- First, it should be noted that out of National Income NI, which is earned by the firms and government enterprises, a part of profit is not distributed among the factors of production. This is called Undistributed Profits (UP). **We have to deduct UP from NI to arrive at PI, since UP does not accrue to the households.**
- Similarly, **Corporate Tax, which is imposed on the earnings made by the firms, will also have to be deducted from the NI**, since it does not accrue to the households. On the other hand, the households do receive interest payments from private firms or the government on past loans advanced by them. And households may have to pay interests to the firms and the government as well, in case they had borrowed money from either. **So, we have to deduct the net interests paid by the households to the firms and government.**
- The households receive transfer payments from the government and firms (pensions, scholarship, prizes, for example) which have to be added to calculate the Personal Income of the households.
- **Thus, Personal Income (PI) = NI – Undistributed profits – Net interest payments made by households – Corporate tax + Transfer payments to the households from the government and firms.**
- **The Transfer payments to the households from the government and firms are added to the National Income to arrive at the PI. Hence option 4 is not correct.**

Q 96.D

- Current Account is the record of trade in goods and services and transfer payments. Trade in goods includes exports and imports of goods. Trade in services includes factor income and non-factor income transactions. Transfer payments are the receipts which the residents of a country get for 'free', without having to provide any goods or services in return. They consist of gifts, remittances and grants. They could be given by the government or by private citizens living abroad.



- Capital Account records all international transactions of assets. An asset is any one of the forms in which wealth can be held, for example: money, stocks, bonds, Government debt, etc. Purchase of assets is a debit item on the capital account. These items are Foreign Direct Investments (FDIs), Foreign Institutional Investments (FIIs), external borrowings and assistance.



- Hence, option (d) is correct.

Q 97.D

- The current account is in balance when receipts on the current account are equal to the payments on the current account. **A surplus current account means that the nation is a lender to other countries** and a deficit current account means that the nation is a borrower from other countries. **Hence, statement 1 is not correct.**
- Balance on Current Account has two components:
 - Balance of Trade or Trade Balance
 - Balance on Invisibles
- Balance of Trade (BOT) is the difference between the value of exports and the value of imports of goods of a country in a given period of time. Export of goods is entered as a credit item in BOT, whereas import of goods is entered as a debit item in BOT. It is also known as Trade Balance.
 - BOT is said to be in balance when exports of goods are equal to the imports of goods. Surplus BOT or Trade surplus will arise if the country exports more goods than what it imports. Whereas, Deficit BOT or Trade deficit will arise if a country imports more goods than what it exports.
- Net Invisibles is the difference between the value of exports and the value of imports of Invisibles of a country in a given period of time. Invisibles include services, transfers, and flows of income that take place between different countries.

- A surplus in the current account of a country does not necessarily imply a surplus balance of trade. Even when there is a deficit in the balance of trade, the surplus in the balance of Invisibles can result in a current account surplus. **Hence, statement 2 is not correct.**

Q 98.C

- Bank rate is the rate charged by the central bank for lending funds to commercial banks. **Hence option (a) is not correct.**
- Repo rate is the rate at which the central bank of a country (Reserve Bank of India in case of India) lends money to commercial banks in the event of any shortfall of funds. Repo rate is used by monetary authorities to control inflation. Hence option (b) is not correct.
- The rate of interest offered by the bank to deposit holders is called the 'borrowing rate' and the rate at which banks lend out their reserves to investors is called the 'lending rate'. **The difference between the two rates is called 'spread'. Thus, it is the difference between the interest rates of borrowers and depositors in a bank, which is often referred to as the profit appropriated by the bank. Hence option (c) is the correct answer.**
- Cash Reserve Ratio (CRR) is a specified minimum fraction of the total deposits of customers, which commercial banks have to hold as reserves either in cash or as deposits with the central bank. CRR is set according to the guidelines of the central bank of a country. **Hence option (d) is not correct.**

Q 99.D

- **Factor cost is the cost of an item of goods or a service in terms of the various factors which have played a part in its production or availability.**
- The main factors of production are-Land, Labour, Capital and Entrepreneurship, which provides for Rent, Wages, Interest and Profit respectively.
- **Factor cost includes only payment to the factors of production. Hence, statement 1 is correct.**
- **It does not include any tax. Hence statement 2 is correct.**

Q 100.B

- India began its **New Economic Policy (NEP) in 1991**, under the leadership of **P. V. Narasimha Rao**. It refers to economic liberalization or relaxation in the import tariffs, deregulation of markets or opening the markets for private and foreign players, and reduction of taxes to expand the economic wings of the country.
- NEP mainly constitutes of **Liberalisation, Privatisation, and Globalisation (LPG) reforms**. Liberalization as introduced to put an end to the restrictions and open up various sectors of the economy. These reforms took shape in the following forms:
 - **Deregulation of Industrial Sector:** Industrial licensing was abolished for almost all but certain product categories - alcohol, cigarettes, hazardous chemicals industrial explosives, electronics, aerospace and drugs, and pharmaceuticals; many goods produced by small scale industries were reserved; in many industries, the market was allowed to determine the prices.
 - **Financial Sector Reforms:** establishment of private sector banks, Indian as well as foreign; those banks which fulfill certain conditions have been given the freedom to set up new branches without the approval of the RBI and rationalize their existing branch networks.
 - **Tax Reforms:** In order to encourage better compliance on the part of taxpayers many procedures have been simplified and the rates also been substantially lowered.
 - **Foreign Exchange Reforms:** as an immediate measure to resolve the balance of payments crisis, the rupee was devalued (and not revalued) against foreign currencies.
 - **Trade and Investment Policy Reforms:** they were aimed at: (i) dismantling of quantitative restrictions on imports and exports (ii) reduction of tariff rates and (iii) removal of licensing procedures for imports.
- **Hence, option (b) is the correct answer.**